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CORE SYSTEM MODULE OVERVIEWS

Version 3.5.2

Product Guide



FRONTISPIECE

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Chapter 1

Advanced Receiving Overview



Introduction

Advanced Receiving allows easy goods receipts to be made against expected deliveries for the day, and is particularly useful when Advanced Shipment Notifications (ASNs) are received from vendors. This is an advanced function, and this document assumes that you have knowledge of purchase receiving.

Advanced Receiving Company Profile

This function allows you to maintain the Advanced Receiving Company Profile. This is a window which is accessed from the Maintain Company Profile option in Purchase Management.

Receipts Diary

This function allows you to control the deliveries for any day. You can create new deliveries, alter existing ones, reschedule delivery times, view and log transit history, receive ASNs and delete expected deliveries from the diary.

Additional information for expected deliveries may be provided during the day, such as time of delivery and carrier information. This information is received via ASNs and other methods. The receipts diary will allow you to log receipt information allowing better planning of deliveries. In-transit information can also be logged against an ASN allowing the detailed history of a delivery.

Single Key Receiving

Single Key Receiving allows the easy processing of expected deliveries from either ASNs or from purchase order lines. It allows you to access a particular item or group of items, make any adjustments necessary to delivery amounts and receive the items by just using a few keystrokes.

This function also creates receipt exceptions which are for example, variances in quantity. Exceptions will be prioritised, allowing for appropriate action from those in charge of the purchase contracts, such as purchase officers. The list of exceptions can be viewed and actioned from the Receipt Exception Handling screen.

Single Key Receiving Processing

There are several ways of defining the criteria to select the records that are to be displayed on the receipt screen.

If The Purchase Order Number Is Entered

The system displays the outstanding receipts for that order in expected delivery day sequence.

If The Purchase Order Number And Vendor Or Stockroom Is Entered

The system displays the outstanding receipts against the purchase order for the entered vendor or stockroom.

If The Purchase Order Number And Item Number Is Entered

The system displays the outstanding receipts against that purchase order for the entered item.

If The Item Number Alone is Entered

The system displays all ASNs containing the item number entered.

If The Stockroom Alone is Entered

The system displays the window listing all outstanding Advanced Shipping Notes for the stockroom entered.

If The Vendor Number Alone Is Entered

The system displays the first ASN for that vendor.

If The Vendor Number And The Stockroom Are Entered

The system displays the next ASN for the vendor that contains at least one line for the entered stockroom.

If The Item Number And The Vendor Number Is Entered

The system displays the first ASN for the vendor that contains at least one line for the item and stockroom.

If The ASN Number Is Entered Alone

The system displays the ASN.

If The ASN Number And Stockroom Are Entered

The system displays the lines for the Advanced Shipping Note.

If The ASN Number And The Item Number Are Entered

The system displays the item (and stockroom when entered), on the ASN.

When you enter any of the above criteria and no matching records are found, an appropriate message is displayed and you can enter another selection criteria. A purchase order number and an ASN cannot be entered on the same selection criteria.

Build Expected Receipts

This function allows you to generate diary entries for use within the receipts diary. Diary entries allow the easy scheduling of expected deliveries within a stockroom.

A file of expected receipts will be built from ASN data received via EDI or from outstanding purchase order lines. This file is used as the basis for Single Key Receiving and the receipts diary.

Receive Advanced Shipping Notes Through EDI

This batch function is available in the EDI Application Interface and loads all EDI received ASNs into the Expected Receipt Diary.

EDI Application Interface ASN Build

The Receive Advanced Shipment Note function is an Application Interface function and transfers any received details from EDI into the Expected Receipts Diary.

Select the Receive Advanced Shipment Notes option from EDI Processing.

Batch Process

Any ASN details will be read in ASN number, item number and batch number sequence. If a batch number exists on the line then a record will be written to the batch detail file. When there is a different item read in then an accumulation of the previous items quantity will be written to the ASN item detail (i.e. there will be an ASN item record for each unique ASN number and item occurrence).

For each occurrence of the ASN number on the Application Interface files, an ASN header record will be written.

Once all of the records have been processed then they are deleted from the Application Interface database, leaving the file ready for the next records.

Exception Handling

From within Single Key Receiving there are several reasons an event would need to be signalled as an exception. This function allows you to study the exceptions created and where appropriate, take an action.

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Chapter 2

Advanced Order Entry Overview



Introduction

Information is the key to good customer service and to ensuring that a sales opportunity is converted to an order. The Advanced Order Entry module provides a variety of functions and techniques that enhance the selling process.

The dialogue with the customer might start as a simple pricing or availability enquiry that may be converted into a quotation or an order. This order can be satisfied from stock, reserved against an incoming purchase order, ordered from a supplier for direct delivery to the customer, or satisfied by creating a production order in Production.

There is a wide range of enquiry facilities available, in addition to reports that enhance those available in Sales Order Processing.

Application Configuration

As with all modules Advanced Order Entry can be operated for a number of companies. In this module, however, the characteristics are maintained on the control files of the Inventory Management and Sales Order Processing modules. It follows therefore that these must be installed and configured prior to the installation of Advanced Order Entry. Inventory Management, Sales Order Processing, Accounts Receivable and Sales Analysis all share a common company with Advanced Order Entry.

Search Families And Certificates Of Conformance

Item characteristics such as colour or thickness can be used to describe any inventory item. These characteristics are identified by a search family code.

Certificates Of Conformance use the same characteristics used by the search family codes and can be maintained for each lot of a lot controlled item.

When allocating stock to a customer in Advanced Order Entry, the characteristics of all available lots can be studied, and the lot which most suits the customer's need can be the one actually allocated.

Lot Reference Maintenance

You can create and maintain lot details for batch/lot/serial controlled items. These details include Certificate Of Conformance references, supplier's reference numbers, expiry dates and potency. This information can assist in selecting the appropriate batch for any customer order.

Relationship to Other Modules

The Advanced Order Entry module is a fully standardised module and as such operates under the control of the Application Manager. It is one of a group of advanced modules that extend the functionality of base modules. The following modules are pre-requisites to the operation of Advanced Order Entry:

- Sales Order Processing
- Inventory Management
- Purchase Management
- Requisitioning
- Accounts Receivable

Some of the module reference data for Advanced Order Entry is set up in Inventory Management and Sales Order Processing.

Advanced Order Entry is designed as an extension to Sales Order Processing. Typically, orders are entered and amended in the Advanced Order Entry module and then processed through to invoicing in Sales Order Processing.

However, Advanced Order Entry extends the normal sources of supply from Inventory stockrooms to, for example, purchase orders, direct deliveries and configuration to order (if Configurator is attached).

The function of Enquiries and Reports is automatically extended to display the result of the additional facilities such as allocation to Inventory batches or back to back sales and purchase orders.

Stock can be reserved against purchase orders set up in Purchase Management and requisitions set up in Purchase Requisitioning for 'purchase to order' and 'direct delivery' orders. Production orders are created in Manufacturing for 'made to order' and 'configure to order' order methods.

Sales Order Processing

Use of order entry and maintenance routines within Sales Order Processing are affected by the implementation of Advanced Order Entry; and controls may be effected via the company profile. In addition, Advanced Pricing set up within Sales Order Processing affects order entry routines in both Sales Order Processing and Advanced Order Entry.

There are three levels of impact in a company when AOE is live:

- Maintenance
- Processing
- Enquiries

Maintenance

- extra fields in company profile. (2/DSCO or 1/OEU)
- need to set up a default customer.(1/ARM and 2/OEM)

Processing

- conversational order entry cannot be used. (2/OEP)
- transcription order amendment cannot be used. (5/OEP)
- conversational order amendment cannot be used. (6/OEP)
- manual allocation (3/OEP) has an extra field Allocate Batch which allows allocation against one or more batches to be carried out. This might be used for orders entered by the transcription method.



Note: Transcription order entry can still be used (1/OEP) all order amendment must be done through AOE (2/AOP)

Enquiries

All enquiries which display the whole order summary screen (1/OEE) have the following changes to the lines summaries:-

- the order line Typ (type) is displayed (blank for an item allocated from stock; RS for a line which is to be allocated, or partially allocated, by reserving stock from an outstanding purchase order; BB for a line which is to be allocated from a back-to-back purchase order; DD for direct delivery.
- an order line can be selected with a 2 to display batch allocation details
- an order line can be selected with a 3 to show reservation details
- with a 4 on a reserved line, the actual Purchase Order Enquiry may be displayed

Conversational Order Entry

Advanced Order Entry replaces the Conversational Order Entry method in Sales Order Processing. Conversational Order Entry is not available when Advanced Order Entry is in use.

Transcriptional Order Entry

The Transcriptional Order Entry method is available whether or not Advanced Order Entry is in use.

Order Amend

The Order Amend procedure in Advanced Order Entry must be used to amend orders when Advanced Order Entry is live. The Order Amend procedure in Sales Order Processing is not available when Advanced Order Entry is in use.

Company Profile Advanced Order Entry Functions

The following profile screens require review:

- Maintenance Screen 2 Advanced Order Entry functions (**F15**)
- You can specify whether to show mark-ups and to display margins. You can also specify how margin calculation is carried out and define lower and upper margin tolerance. It is here that the default customer (which can be used for quotations and enquiries) and the default customer search type is defined.

Advanced Pricing

Advanced Pricing affects a number of screens; mainly with regard to the displaying of additional fields or additional functions/options:

Select Screen

If Advanced Pricing is in use, Price lists and the Discount list are not displayed.

Header Screen

Displays fields for Price Type, Discount Types, Discount Percentages and Discount Presentation

Order Lines Screen

Enables a Pricing Details option, and a repricing function

Pricing Detail Enquiry

This additional enquiry shows price and all appropriate discounts.

Order Line Overrides

Various additional fields are available: Price Type, Fixed Price, Per and Discounts.

Discounts Window

Displays additional fields: Discount Type, Discount %, Presentation, Discount Value and Discount Value Per.

Order Amend

Screens within Advanced Order Entry (with Advanced Pricing in use) are the same as within Order Entry.

Inventory Management

The Inventory Management company profile is used to activate Advanced Order Entry within a selected company. Once AOE is turned on there are three levels of impact within Inventory:

- Maintenance
- Processing
- Enquiry

Maintenance

Extra fields need to be maintained in:

- Stockroom Codes File (1/DSCO or 2/INU)
- Item File (2/INM)
- Also extra codes need to be maintained in the Descriptions File (1/INM).

Processing

- Enhanced Item Search

Enquiry

On the 'Item/Stockroom enquiry' stockroom details screen (3/INE), Reserved is now displayed. This 'Reserved' value indicates the quantity of the item that has been reserved against an outstanding purchase order.

Company Profile

The following profile screens require review:

- Maintenance Screen 1 SOP in Use flag
- Enter a 2 (AOE attached) against the 'SOP in Use' field.
- Maintenance Screen 1 Extended Options (F10)
- Here you specify whether orders can be accepted with decimal quantities, and define the default item search criteria in AOE.
- Stockroom Extended Options
- This screen allows you to control how stock is allocated.

Descriptions File

A number of codes must be set up in this file in order for Advanced Order Entry to operate, for example quotation types and Certificate Of Conformance requirement codes.

Item Maintenance

For any item you can identify search family and Certificate Of Conformance codes, the preferred supplier and if appropriate, the non-stock item type. You also define whether Certificates Of Conformance are required and the default order type (for example, normal or direct delivery).

Item Maintenance Alternative Item References

You can set up alternative item references such as supplier or customer item codes for any item.

Item Maintenance Item Search Characteristics

This option enables you to set up and maintain the values and descriptions of the search characteristics for an item.

Stockroom Details Maintenance

This option provides for the creation and maintenance of details related to the stocking of an item in a stockroom.

Purchase Management

There are two levels of impact in any company when AOE is live:

- Processing
- Enquiries

Processing

- Back-to-back orders in AOE generate requisitions. These requisitions can be amended, if required in the usual way (11/RQP) and then firmed up to purchase orders in the usual way (31/RQP)
- In goods receiving (43/PMP) **F17=Batch Maintenance** is available, so that batch details can be created as an order line is being received. Also an order line can be selected with a 3 to show reservation details.

Enquiries

In all enquiries which display the Order Summary screen (11-14/PMP and 16-17/PMP) you can now select an order line with option 4 to display reservation details.

Additional Functions

As this is an advanced module, so much of the primary data has already been set up during implementation of the base modules. There are, however, additional functions provided that require the entry of specific data in order to exploit them. These are:

- Enhanced item search.
This replaces the standard item search for a company when Advanced Order Entry is installed and active.
- Item attributes.
This is a set of attributes that class the item.
- Alternative item references.
These could be a customer or supplier reference
- Certificate of Conformance (C of Cs)
Details of C of Cs that have been received can be held within the system and used for reference purposes.

Enhanced Item Search

Items may be identified by any of the following:

- Displaying a list of items starting at an item code or part item code
- Displaying a list of items using up to six part words matched from the item description and external text.
- Displaying a list of items using up to six matches on words or parts of words from the purchase item description.
- Displaying a list of items that meet the attributes entered for the search
- Displaying a list of items that have an alternative item number that matches an entered alternative item reference or part reference

The following two methods are only available if Advanced Order Entry is installed.

- Displaying a list of configured items that have a base item code that matches the entered data. This option is only available if Production and Configurator are installed.
- The installation of Advanced Order Entry enables the maintenance of item attributes and alternative item references in the Inventory Management module.

Item Attributes

An item can be assigned a set of attributes that class the item. For example sheet metal might be:

- Colour
- Material
- Surface Finish
- Width

The attributes for a particular item are then set up during item maintenance. Thus all the items of a given colour, material and surface finish can be identified.

Alternative Item Reference

During item maintenance it is possible to create and maintain any number of alternative item references or codes. Typically these might be a customer item number or an OEM (Original Equipment Manufacturer's) code.

Certificates Of Conformance

Increasingly with the emphasis on quality, it is necessary to be able to record the specification and test results of an item or batch. Advanced Order Entry provides up to ten attributes for a class of items together with the specific test results and the certificate number. This can then be linked to a particular lot. Selection is provided to find those lots that have the required qualities.

Processing

When the order entry option is selected from the processing menu, access is provided to a whole range of order taking facilities, enquiries and sourcing methods, so it is possible to respond to the wishes of the customer, as questions are asked. These facilities may be used to answer an enquiry on price, on availability or to raise an order. This enables a call which starts as an enquiry to move to a quotation and finish as a sales call.

When the order entry function is selected, an opportunity is provided to identify and select the customer or an item. The default customer will be picked up if no actual customer code is selected so that a general quotation can be generated.

In many cases customers have specific terms and agreements. If these are to be taken into account when an enquiry is being made, then it is better to make the enquiry specific to the customer, as opposed to making a general enquiry. Pricing and availability can be checked in either case.

At any time during the dialogue with the customer, it is possible to select the option to say that an order or quotation is to be created. If an order is being created, access is provided to order overrides, such as delivery due date, delivery method, default price lists, discount lists and stockrooms.

When a customer is identified, the standard checks for credit stop and credit limit are performed. If the dialogue closes with an order being generated, then a credit limit check is performed at order close. An item may be one of the following:

- Stock item
- Non-stock item
- Kit
- Kit created during order entry

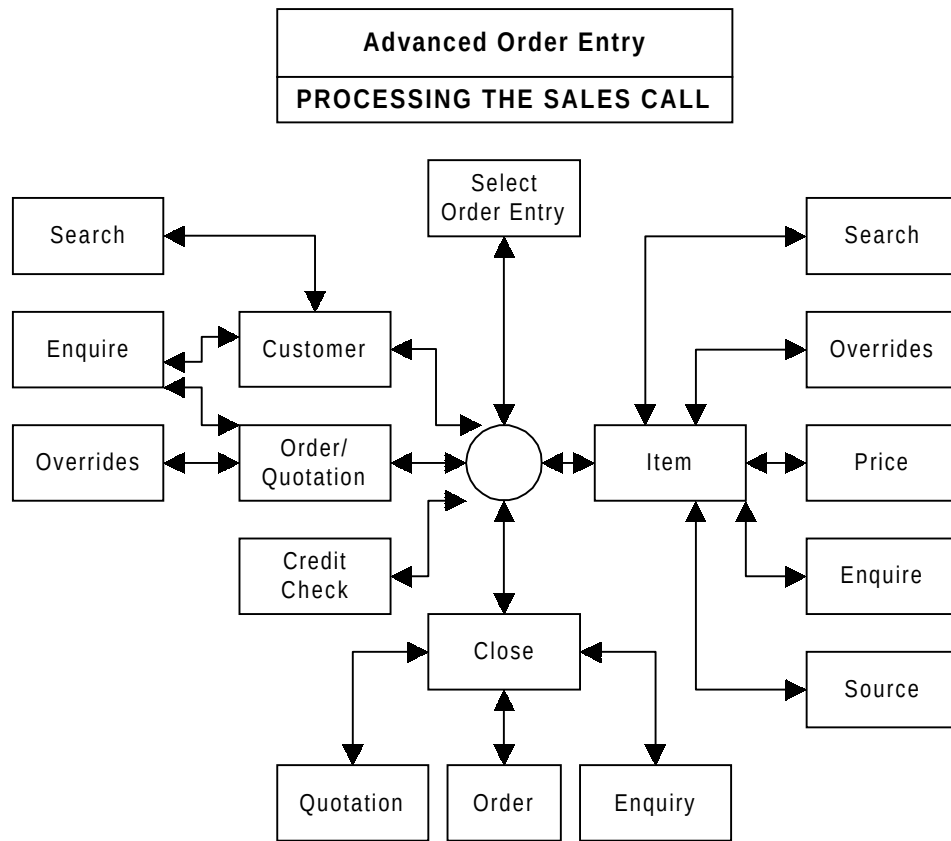
With the conflicting pressures of improved customer service and reduced inventory levels, it is vital that all the possible ways of sourcing are examined during the sales call, and realistic promises are made. It is possible to source an order line from:

- The normal stockroom used to supply the customer
- Any other allowed stockroom
- An alternative item
- Reserve against an incoming purchase order
- Raise a back to back purchase order via a requisition for the sales order line
- Raise a purchase order via a requisition for direct delivery to the customer

During the sourcing process it is possible to allocate specific lots of an item to the order. At the end of the sales call it must be closed and the result recorded. The possible results are:

- An order
- A quotation (including an enquiry)

During the close procedure, additional charges may be added and whole order discounts calculated.

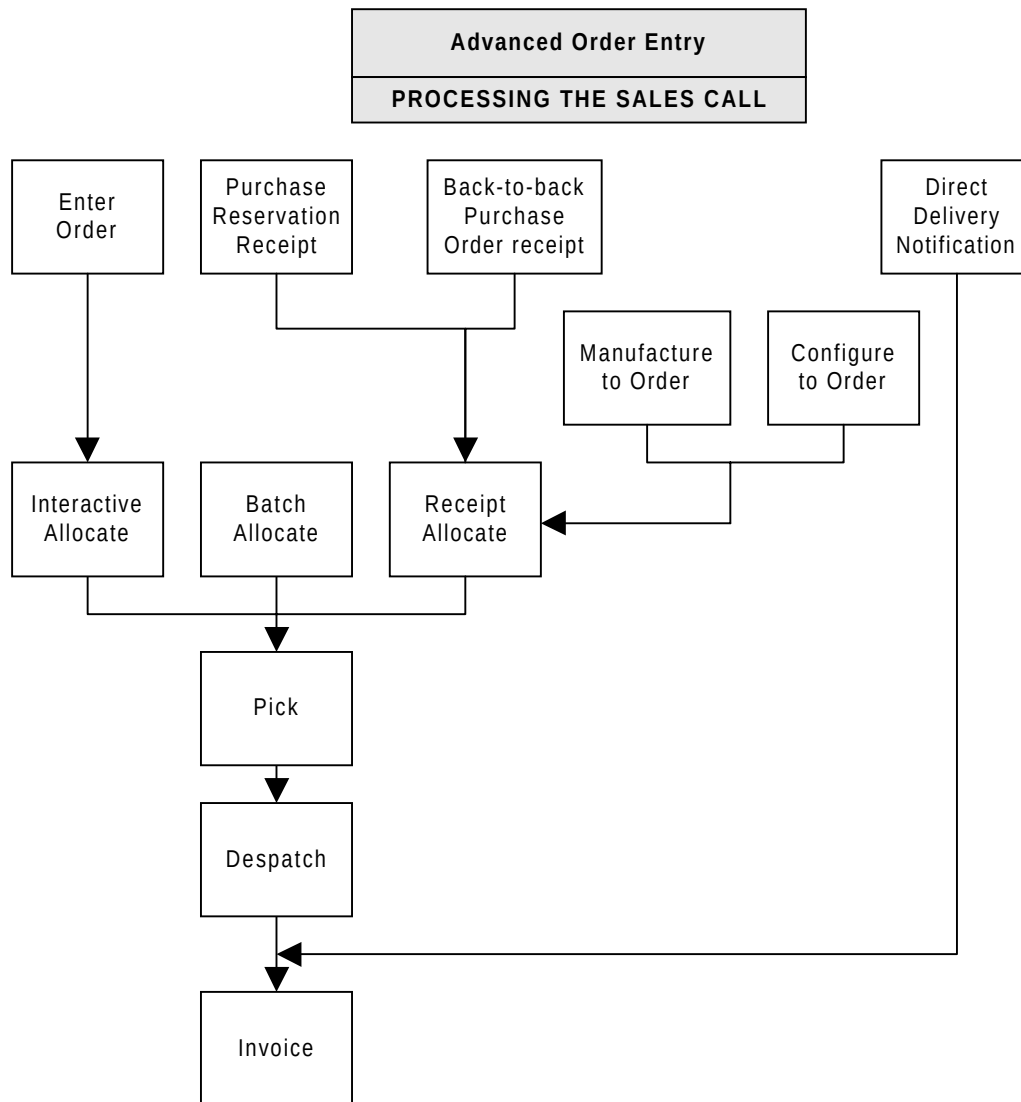


Progressing Orders

Once an order has been taken, stock needs to be allocated. This can be done in a number of ways:

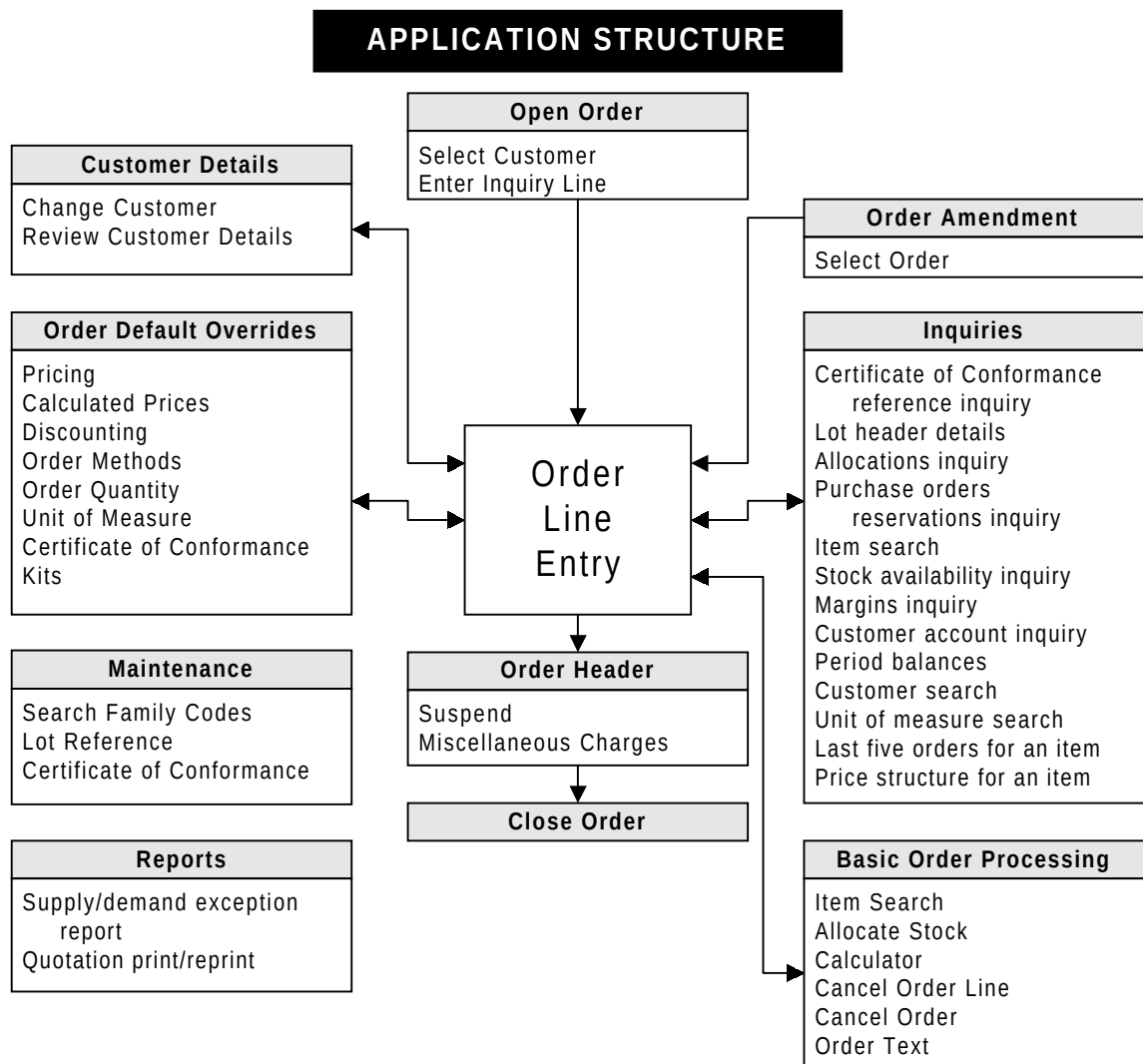
- During order entry, if stock is available it can be allocated. This includes the allocation of a specific lot. Stock from outstanding supply orders can be allocated to a sales order.
- Manual allocation can be used at any time to allocate stock specifically to an order.
- When a receipt is booked for a purchase to order or direct delivery order, stock is automatically allocated to the appropriate sales orders.
- When a receipt is booked for a make-to-order or a configure-to-order, stock is automatically allocated to the appropriate works orders.

Having allocated stock, the order can then be progressed through picking and despatch confirmation, which results in an invoice request being generated. In the case of direct delivery, when notification of delivery is recorded for the purchase order, the associated sales order is updated and the invoice request generated.



Advanced Order Entry Structure

The following diagram illustrates the key stages in the order entry process. From the diagram you can see that the module is designed so that, after opening, the order entry process is controlled from a base screen. Order lines are entered in the base screen and all further processing is selected from and returns to the base screen.



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Chapter 3

Configurator Overview



Introduction

The Configurator Overview explains the following:

- What Configurator is.
- How Configurator fits with other modules.
- The benefits that Configurator provides with regard to order entry.
- The benefits with regard to production control.
- How Configurator works
 - these paragraphs are based on a simple configuration which is used as an example throughout the product information.

What is Configurator?

If your company tailors a product to the exact requirements of a customer, and assembles or manufactures the product to conform to a specific customer order, then you need a system which presents choices and controls permutations while the order is being placed. The system should then use the information to create the production order.

Configurator displays all the different options available for the product when your customer calls to place an order. You can set up rules to ensure that incompatible orders are not created - for example, if your customer selects a PVC desk this cannot also have the varnish finish which would be available for the pine desk.

Once configured, the price of the product is confirmed, allowing product margin control. The system automatically creates a confirmed production order, which shows all the components and operations required.

Configurator means that you can set up a single production route for your basic product, and then specify all available variations (materials, colour etc.) within that same route.

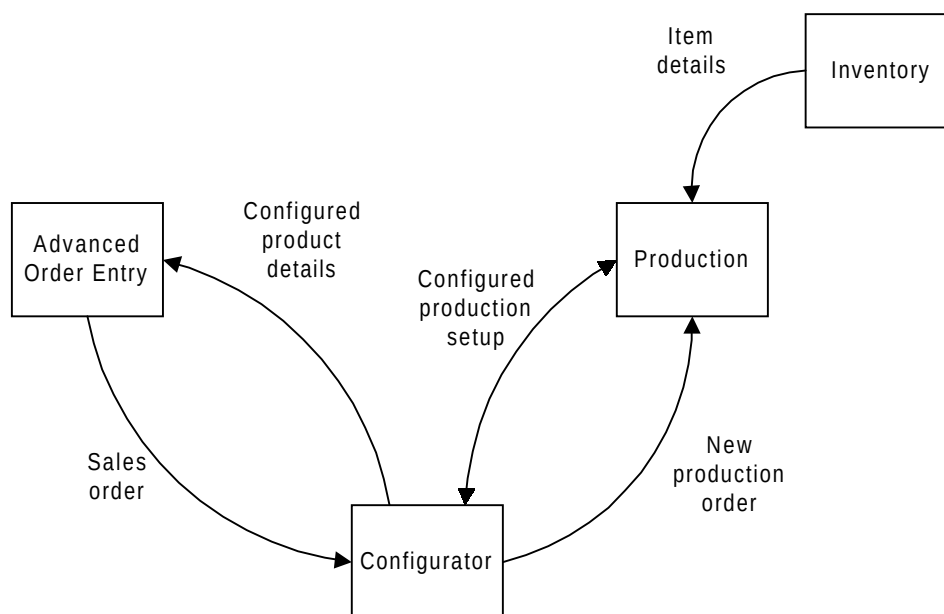
Accurate configuration leads to high customer satisfaction, but the route needs careful control if an accurate configuration is to be created first time and pass without error into production. It is in these areas that Configurator can provide substantial benefits.

Configurator and Other Applications

The main functions of Configurator are:

- To enable a sales order to be easily configured according to options displayed when the order is being placed.
- To create a production order to fulfil the sales order.
- To calculate costs and prices according to the costing and pricing methods selected.
- To facilitate the setting up and maintenance of items and routes.

The basic interfaces are illustrated below:



Prerequisites

You must have the following Distribution and Production modules:

- Inventory Management
- Sales Order Processing
- Advanced Order Entry
- Production Definition Management
- Production Control

Other Related Applications

If you use the following modules with Configurator, it provides a comprehensive product set for the configure-to-order marketplace.

- Customer Returns - allows configured products to be received and optionally matched against the original invoice to enable accurate costs and credit notes to be generated.
- Sales Analysis - enables invoice details to be reviewed for fully configured products.
- Transport Planning - plans the physical storage and distribution of configured products by assuming that the fluctuation in pack sizes, weights and volume between variants of the configured product is negligible.
- Warehouse Management - plans the physical storage and distribution of configured products by assuming that the fluctuation in pack sizes, weights and volume between variants of the configured product are negligible.
- Advanced Financial Integrator (AFI) - you use this to update user-defined General Ledger accounts with accurate stock and cost of sale values.

The Benefits in Order Entry

- All the configuration options are presented clearly and in order.
- All the information necessary for creating the sales order (and a production order, if required) is collected first time. This reduces the likelihood of error, and provides customers with a more efficient service.
- Product permutations are easily controlled. For example, if a customer orders a pine desk a choice of paint colours is available, but if the customer selects a PVC desk, a paint finish is not offered.
- The presentation of options can be controlled by user ID, so that it suits the experience and knowledge of each operator.
- Enquiries provide easy tracking of the progress of your sales and production orders.
- Three methods of cost calculation are offered:
 - A price list price for the model is used unchanged for all items configured from that model.
 - The price is the sum of the price list prices for all components.
 - The price is the sum of the cost list prices for all components, plus operation costs (optional), plus a percentage mark-up as required.

The Benefits in Production Control

When setting up the route

- If you are using the preconfiguration process, you need only set up and maintain one model item and route, instead of items and routes for individual items.
- Once your generic item (e.g. 'Paint') and your actual items (e.g. 'green paint', 'blue paint' etc.) are set up, you need maintain only the generic item.

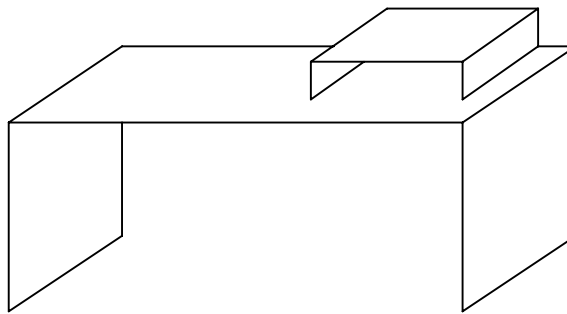
When creating the sales order

- Once the sales order is created, a production order is created automatically to fulfil the order.
- Configurator rules govern the creation of the sales and production order, so that invalid orders are not created. The rules can ensure, for example, that if a desk has a green top, the sides are also green.

How Configurator Works

The working of the Configurator depends to a great extent on the careful and accurate organisation of items and routes within the Inventory and Production applications. This in itself depends on a good understanding of how the information will be used and presented by Configurator.

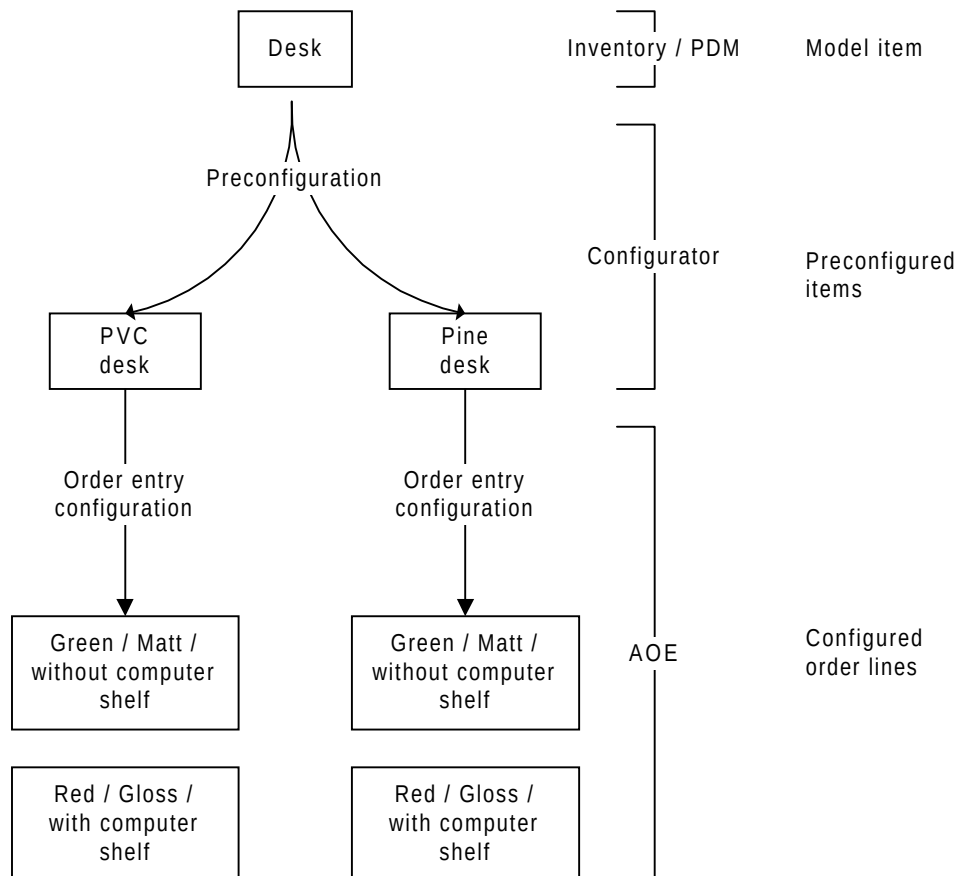
The following paragraphs outline the working methods of Configurator, and introduce essential vocabulary. The concepts are illustrated by a simple example, a child's desk. This is illustrated below:



Once you understand the ideas and terms used, you are in a position to turn to the Implementation procedure, which takes you through the process step by step.

What is Preconfiguration?

You can select some options before the sales order is placed. If, for example, you have set up the desk as the model item but wish to have the pine desk and the PVC desk separated as items before the customer places the order, you can preconfigure. The diagram below shows the position of preconfiguration in the application:



On completion of preconfiguration the following item master records are automatically created for the preconfigured product:-

- Inventory item
- Inventory item/stockroom
- Production item

The item code itself can be generated automatically or manually.

What is Order Configuration?

If you do not wish to use the preconfiguration function then you are saved the work of setting up a model and base items. All you have to do is to set up your item as an order configured item in Inventory, and attach a route to it (this route must be the configuration route as defined in the Configurator company profile).

All the options and features you then define for the item are presented for selection during order entry:

Options are presented in selection windows, but the display can be tailored to an individual operator, depending on their level of experience and expertise in configuring products.

You can also reselect any number of components during discussion or negotiation with the customer, as the price of the particular configuration is displayed on a review screen.

If required, Configurator displays all optional operations and features not yet added to the configuration. You can select any of these to add to the configuration, and then return to the configuration review screen and complete the configuration.

Defining the Item

Within standard Production, a parent item, defined within Inventory and Production Definition Management (PDM), is attached to a route which specifies all the operations and components necessary to produce that item.

A parent item which you want to configure is defined in Inventory and PDM in just the same way, except that the setting of a flag in Inventory defines the item as a model item. This is the unconfigured basic item whose route holds all the definitions for any configured variation. In our example it is the desk itself.

The model item is attached to the route which holds its operations and components. This is, in every case, the configuration route as specified in the Configurator company profile. This is the only route which can be used by Configurator for the company in question.

If the configuration route for the model item contains many features and rules which you would like to use for other items, you can set up base items. Base items use the same route, including operations and components, as the model item with which they are associated, but because they are separate Inventory items their Inventory set up can differ from that of the model item.

Defining the Route

The normal series of operations and components is entered, but the route must hold extra information. Both components and operations can offer options.

Below is the route for our desk, with the configurations available on this route added as comments:

OPERATION/ COMPONENT		OPTIONS
0010	Assemble desk	
0010	1 x Left Side	The sides and top must be offered in the full range of colours and finishes.
0020	1 x Right Side	
	1 x Top	The colour and finish of both sides and top must match.
		The top can be plain, or it can have a cable hole for the fixing of a computer shelf (optional)
0030	4 x Screws	
0020	Paint desk	This operation is optional, depending on colour chosen.
0010	Paint	Must match desk colour chosen.
0030	Fix computer shelf	
0010	Computer shelf in black PVC	If the computer shelf is not ordered, this operation is not performed.

Characteristics

Our desk is available in a choice of materials (pine and PVC), and a choice of paint finish (matt, gloss) and paint colour (blue, green, and red paint, and clear varnish).

In order to control the options that can be selected, this information must be set up carefully.

The following diagram shows how the three 'areas' of choice (material, finish and paint colour) are entered on the system:

The options available here are to do with the choice of paint, which is set up as a search family. Within this, the choices of finish and colour are called characteristics, to be set up via the Inventory Descriptions option under a major type.

'Paint' itself is set up as an item in Inventory, of the type to be known as a generic item, with its own item code. Each item within this generic item must also be set up in Inventory in the same way as any other item. These items must include every valid permutation of characteristics:

PAINT	Matt	Gloss
Red	Y	Y
Blue	Y	Y
Green	Y	Y
Clear	N	Y

You can see from the above table that seven permutations must be allowed. These, once set up, are known as actual items.

Rules and Messages

You notice that the selection of different characteristics in itself involves complications. If you select a computer shelf then the shelf fix operation is required, while if you do not, then the operation is not required. All such requirements and any invalid permutations are specified in rules, and if a rule is broken a message can be displayed.

Rules are set up and maintained separately from the route itself, but are 'invoked' within the route, as are messages.

Creating the Production Order

On completing the sales order, a confirmed production order is created for each configured sales order line, containing all selected operations and optional components as well as any standard components.

Any internal sales order line text, plus any text entered during configuration is also transferred on to the production order.

Whilst the production order is held, i.e. not yet released, the configuration for the product can be amended by reconfiguring the product in Advanced Order Amend.

A default planning filter is added automatically to the production order, so you can prevent MPS and/or MRP from replanning the configured product.



Note: If Configurator is installed, then back-to-back production orders may also be created for 'standard products' using the default route for the product, i.e. without any configuration involved.

Allocate Finished Product

Once the production order is released for the configured product, then Production Control handles it in almost the same manner as a normal production order, with the following differences:

If you try to amend any key details on the production order, in particular quantity, date or stockroom, then a message tells you that the production order is linked to a sales order line. An exception record is also created.

If the production order is to be released or booking in of finished goods is attempted whilst the associated sales order is suspended, cancelled or a quotation, then again a message is issued (and an exception record written).

Full visibility of linked sales order lines is provided via windows displayed within these transactions (and also from the production order enquiry). You can select the sales order line and see the production order enquiry. This facility is also available in reverse from the production order enquiry.

On booking in the finished product, the system automatically allocates the quantity to the associated sales order line, allowing it to be subsequently picked and despatched (using the batch, lot or serial number as its unique reference).

Enquiries

There are three particular types of enquiry which are relevant to a configuration environment, i.e.:

- The status of a particular order
- The traceability of a particular configuration throughout the processing cycle
- Details of what is contained within a particular configured product

Reports

All of the standard sales and production reports and documents are available for configured products.

The lot/batch/serial number, if used, are printed and provide access to the particular product configuration. Details of the configured options are included on pick lists, invoices, etc.

In addition, listings are available (with selection criteria) for the following:-

- Rules
- Messages
- Items by search family characteristics

Restrictions

- Although the standard Production modules are available in two modes - Base and Extended - the Configurator uses only Base mode.
- Whether your system is normally Base or Extended, as soon as you begin to use Configurator, all routes created with the configuration route automatically use Base mode and functionality.
- Configured items cannot be either kit components (because they need to be priced in Order Entry) or kit parents (because stock needs to be held against them during order processing).
- The Sales Analysis application does not distinguish between sales of different configurations for the same item. For this reason, Configurator maintains an analysis file, CNP90, which holds details of the different configurations. You can use Query or Viewfinder or another file manipulation function to produce an analysis.



Warning: You should take care when setting up rules. Complex rules systems are difficult to implement and any amendment is liable to lead to unforeseen problems.

Implementation Plan

This section is a guide to the planning and implementation of Configurator, and lists the prerequisites of the module, outlining the recommended implementation procedure.

The various stages need to be thought through and an implementation plan produced. The configuration designers need to be thoroughly familiar with the routes and assemblies to be configured, and you must spend time planning items which are to be generic, which options are to be taken at preconfiguration and which at order configuration, and so on. The implementation plan should allow for the training of users, configuration planning, and data entry.

The list below shows the modules involved:

Process	Initiating Module
Set up the item data	(Several)
Create rules	Configurator
Create configured items	Configurator
Select product on customer order line	Advanced Order Entry
Select mandatory components	Configurator
Select optional operations/components	Configurator
Create customer order line	Advanced Order Entry
Create/amend production order	Advanced Order Entry
Release production order	Production Control
Issue material	Production Control
Report operations	Production Control
Receive finished goods	Production Control
Allocate to customer order	Production Control

Implementation Procedure

After installing the software, the recommended steps for implementing Configurator are as outlined below. Each of the steps is detailed within other sections, the list given here is intended to be used in conjunction with the detailed sections on each option.



Note: The option Configurator Application Manager Installation on the Advanced Order Entry Utilities menu (1/AOU), must be run after installing Configurator. The option only needs to be run once. This is to set up library lists, tasks, menus etc. This is because the configurator objects exist in the Advanced Order Entry libraries.



Note: Company details and reference data (work stations, stockrooms etc.) must be set up in all prerequisite applications before defining Configurator details.

A note on menus: some Inventory and Production options appear on Configurator menus for your convenience. The Inventory item master option, for example, can be taken from within Inventory, Configurator or Production. It makes no difference which you use.

The implementation guide instructs you as to when to set up Inventory Description file entries, but for general information the complete list is as follows:

- Configurator rule categories (RCAT)
- Configurator message categories (MCAT)
- Inventory Sources (INSC)
- Operation codes (OPCD)
- Ordering Methods (ORDM)
- Characteristics (user-defined)
- Configurator operation IDs (CNOI)

Implementation Steps



This section takes you through the steps necessary to set up Configurator once you have installed it. You will find it useful to read these instructions and carry them out in order.

Each numbered heading gives the menu option you must enter, then gives details of what needs setting up.

Read the instructions carefully, and ensure you understand the terms used. If you are unsure, reread the relevant section of this overview, or see the InfoBase Configurator glossary.

1. The Descriptions option in Inventory Management



1/INM, OR 21/CNM

Set up a description table for Inventory Source (INSC), defining a specific and unique value for each of the following item categories in Configurator:

- Model items
- Base items
- Preconfigured items
- Order configured items
- Generic components



The codes M, B, P, O and G are suggested simply because they are the initial letters of each category, and so will be easy to remember, but if you already use these INSC codes for another purpose then you must choose different ones.

2. The Descriptions option in Inventory Management



1/INM, OR 21/CNM

If selection by characteristic is to be used, set up a new major type (within the Inventory descriptions file) for each characteristic, and add there all the associated values for each characteristic required. If the characteristic was colour, for example, you might set up major type COLR with blue, red and green as values within it.

A new, separate major type must be set up for characteristic you plan to use.



When entering the codes, you must type V in the 'Percentage/Value' field for the major type, otherwise the codes are not picked up for Configurator prompts.

3. The Descriptions option in Inventory Management



1/INM, OR 21/CNM

Set up an Inventory descriptions table for ordering methods (ORDM). You must set up the following specific values:

- 0 - Normal stocked item.
- 1 - Make-to-order.
- 2 - Purchase-to-order.
- 3 - Deliver direct.
- 4 - Reserve.
- 5 - Configure-to-order.

4. The Descriptions option in Inventory Management

1... 1/INM, OR 21/CNM
2...

Set up an Inventory descriptions table for rule categories (RCAT) and message categories (MCAT).

Every rule and message you use must be assigned to a category. One RCAT category and one MCAT category is enough unless you wish to use category as a search facility. This would be useful if you use rules extensively.

Note that the codes you set up must not be more than 5 characters long.

5. The Descriptions option in Inventory Management

1... 1/INM, OR 21/CNM
2...

Set up Inventory descriptions for the Configurator operation ID (CNOI).

A unique operation ID must be assigned to each operation within a Configurator route. This must not be unique simply within its own route, but unique for the company. The code is entered when you define the route, and is mandatory.

6. The Search Family/Characteristics option in Configurator

1... 3/CNM
2...

You can only begin this next stage when you have set up a major type in Inventory for each characteristic you are going to use (see above).

This step involves setting up the search family codes you are using, defining up to ten characteristics for each. Search family groups are used by Configurator for several purposes:-

- To link a model product with associated base products.
- To link a generic component with its actual components.
- To search for a matching component based on the specified characteristics.

Thus each model has its own search family, whose code appears in the Inventory item master of each of its related base products.

The same is true of each generic, which is linked to its actuals.

7. The Company Profile Maintenance option in Configurator

1... 1/CNU
2...

Define the Configurator company profile. The critical settings here include:

- The production route code for configurations
- Item categories (Inventory source codes) for model, base, preconfigured and order configured items, and generic components.
- The pricing method to be used for the configured item.

8. Either the Items option or the Linked Item Maintenance option, both in Inventory Management



2/INM, 10/INM

Set up Inventory item master records for model items and base items, assigning the 'Inventory Source' flag as defined for each type of item on the Configurator company profile.



The Linked Item Maintenance option enables you to enter all item maintenance details via a single menu option, instead of having to switch between menus and options.

Inventory offers a 'base on' facility (Copy Based On Item Creation from the Inventory Maintenance menu) which creates a new item based on an existing one, copying not only the Production details but Inventory item master and stockroom details, as well as other details as requested.

Each item can be set up with a default ordering method. This defines the usual method of sourcing for the item when ordered in Advanced Order Entry.

Group together related model and base items by assigning them the same search family code. Optionally define appropriate item search characteristics for each base item.

9. Either the Items option or the Linked Item Maintenance option, both in Inventory Management



2/INM, 10/INM

Set up Inventory item master records for all generic and actual components, assigning the 'Inventory Source' flag for generic components only.

Each item may be set up with a default ordering method. This defines the usual method of sourcing for the item when ordered in Advanced Order Entry.

Group together related generic and actual components by assigning them the same search family code. Define appropriate item search characteristics for each actual component by using the **F18** key.

10. The Stockroom Details option or the Linked Item Maintenance option, both in Inventory Management



5/INM, 10/INM

Set up Inventory item/stockroom records for every model and base item, and every generic and actual component.

Configured items sold within Advanced Order Entry need to be defined to the sales depot specified for the configured order line.

11. The Production Details option in Production Definition Management, or the Linked Item Maintenance option in Inventory Management

1... 3/MDM, 10/INM 2...

Set up Production item master records for every model and base item, and every generic and actual component.

Phantoms are supported by Configurator.

12. The Configurator Rules option and the Configurator Messages option, both in Configurator

1... 1/CNM, 2/CNM 2...

Set up component and operation rules in Configurator, with corresponding messages if required. This requires Description file codes to be set up for rule categories (RCAT) and message categories (MCAT). No special values are required for these codes.

A set of rules may be defined within the application to check the validity of combinations of operations, components and text formats for particular configurations. The rules operate 'intelligently' during configuration, performing automatic inclusions and exclusions as the configuration is built.

Specific messages may be defined within the application, to be applied either to particular Configurator rules or to maximum and minimum component quantities for a configuration.

When a particular rule is broken, or the 'quantity per' entered for an component is outside the permitted range, the appropriate Configurator message is displayed. The rules and messages may be split into categories which aid their search and selection, particularly if there are a large number defined to the Configurator.

13. The Text Types option in Production Definition Management

1... 41/MDM 2...

If Configurator formatted operation text is required, set up text formats in Production Text Types.

14. The Routes/Structures option in Production Definition Management

1... 21/MDM 2...

Set up a production route for the model item or order configured item, using the configuration route code as defined on the Configurator company profile. Define all possible components and operations for the model item. Define whether each one is optional or mandatory and whether it is selectable during preconfiguration or at order entry time. Optionally define text formats and Configurator rules to the route.

15. The Preconfiguration option in Configurator

1... 1/CNP 2...

If you are using the preconfiguration option:

Generate preconfigured items in preconfiguration from model/base item combinations.

16. The Price/Discount Profiles option, the Price Lists option, and the Discount Lists option, all in SOP

1... 4/OEM, 5/OEM, 6/OEM 2...

Set up your pricing details. This depends on the pricing method you have selected in the Configurator company profile:

Pricing method - 0:

Set up the price list and discount list for the parent item only.

Pricing method - 1:

Set up the price and discount lists for all components.

Pricing method - 2:

This method requires several setup steps:

- a) Define operation costs on the Production route.
- b) Run the option (2/MDC) to write Production costs to a file accessed by Configurator.
- Both a) and b) are used only if the company profile specifies the use of operation costs.
- c) Create a cost price list profile for components.
- d) Run the option in Configurator to write costs to the cost price lists.
- e) Set up the cost discount profile for components, if discounts are to be applied.
- f) Set up the mark-up percentage for the parent item. This is done in the cost discount list, using a negative value.

See Maintenance for further details.

17. The Configuration options in Configurator

1... 2/CNP, 3/CNP 2...

Take orders for configured items in Advanced Order Entry, either by directly entering the configured item code, or by entering a base item with search type 9 to select from a list of all configured items related to the base item. This allows the configuration to be set by selection of the remaining options. When the sales order is updated, corresponding production orders are generated to manufacture configured lines.

18. Standard Production Control options.

Process the production orders through Production Control as for normal production orders. When the completed configured items are booked into Inventory, stock is automatically allocated to the configured sales order lines.

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Chapter 4

Customer Returns Overview



Introduction

There is a growing requirement to control the flow of goods back from the customer, particularly for Wholesalers distributing to Retailers. The need to control such an important aspect of the company's activity is key to reducing costs and increasing customer satisfaction.

The tasks associated with the sale and despatch of goods are similar to those required for return and credit of unwanted items. This not only includes pricing and discounting, but also receiving, checking and re-packing the returned goods.

Customer Returns provides information and facilities in the following key areas:

- Return Note creation.
- Returned goods receiving.
- Quality Assurance.
- Credit Note creation.
- Returns tracking and commitment or both.

You can control and tailor Customer Returns to each company's requirements using the profiles.

Relationship to Other Modules

You must have the following modules to use Customer Returns:

- **Inventory Management** - The Inventory Management Item Master provides the specification of the items. You maintain physical stock balances using the Returns Receiving function. Customer Returns writes Inventory movement records for returned goods and scrap or rejection adjustments.
- **Accounts Receivable** - Customer Returns uses the standard Accounts Receivable customer data.
- **Sales Order Processing** - provides additional customer information: Price, Discount, Order and Invoice data. Customer Returns creates Credit Notes, which you can process with Invoices and Credit Notes raised within Sales Order Processing. Customer Returns uses the Sales Order Processing pricing, if you do not match the Return to a Sales Invoice, when you create a Credit Note.

You can also use Customer Returns in conjunction with the following:

- **Advanced Financial Integrator (AFI)** - You can process the Inventory Movement and Credit Note details created within Customer Returns by AFI. You can then use AFI to update Stock and Debtor accounts in the General Ledger.
- **Sales Analysis** - you can extract the Credit Notes created within Customer Returns into Sales Analysis.
- **Warehousing** - Customer Returns checks to determine whether you have Warehousing installed and if so, whether the Company and Stockroom being processed is defined to Warehousing and is active. If so, when you receive goods or transfer them to Stores you need to enter Warehousing specific information including packing code, and expiry date (for consumables). The put-away routines in Warehousing then process these items.

Configuring Customer Returns

You can operate Customer Returns for a number of companies. You maintain the characteristics of each company on the company profile. The information includes:

- Defaults for Returns Entry and Receiving.
- Application Tailoring parameters.
- Output queues for reports.
- Return Note numbering.
- Goods Returned Note (GRN) numbering.
- Reject Note numbering (for returned goods sent back to the customer).

These default values improve the efficiency of data entry and provide the parameters for the generation of document references.

Customer Returns uses Master File data set up in other modules. You also need to set up some Master Files specifically for Customer Returns. These are:

- Returns Officer names.
- Collection Instructions.
- Receiving Addresses.

Returns Officer Names

A Returns Officers is an employee who uses Customer Returns. You record a Returns Officer against each Return Note raised to identify authorisation processing options.

You must authorise a Returns Officer before they can authorise returns. You can authorise returns when you enter the Return details, or via the Returns Authorisation function.

Collection Instructions

You can maintain a set of collection instructions for each company, using up to three lines of text. You identify each set of instructions with a three character code. You select the collection instructions in Returns Entry, (you can change the selection in Returns Amendment) and are printed on the Return Note document.

Receiving Addresses

You can maintain a set of receiving addresses for each company. Each receiving address is identified by a three character code and comprises of a name, and up to five lines of address details.

You can select the receiving address for returned goods in Returns Entry. Otherwise, the receiving address defaults to the receiving address set on the company profile. You can select a different address in Returns Amendment.

The address prints on the Return Note document.

Processing

You can divide the normal day-to-day processing in Customer Returns into three types of tasks:

- Creating Return Notes.
- Receiving returned goods.
- Creating Credit Notes.

Creating Return Notes

You create Return Notes after entering and authorising the return request.

You can break the entry of the requested return into three stages:

- Header.
- Items.
- Options.

Header

You can specify the following information on the return header:

- Return Reason - the reason the goods are returned. The Credit Creation process uses this as the Reason for Credit code when raising a Credit Note.
- Returns Officer - the employee registering the requested return.
- Original Invoice - the original sales invoice for the returned goods. The matching of a Return to an original invoice is optional.
- Stockroom - The stockroom which receives the return.

Other details specified on the collection note header are:

- Return Note Number.
- Request Date.
- Expected Return Date.
- Collection Instruction Code.
- Department.
- Customer Reference.
- Job Number.
- Department.

Items

If you enter an original invoice number, you can only enter items appearing on that invoice on the return being raised. You can select these items from the invoice, which displays automatically. The returned quantities of each item can not exceed the quantities originally invoiced.

If you do not enter an invoice number, you can enter any item valid for the receiving stockroom on the Return. In this case you can enter any quantity.

The expected return date, job number and department default from the header values, but you can change them.

Options

When you complete each return, there are options to:

- Enter further return requests.

- Add multi-lingual text to print on the Return Note.
- Add internal Return Note text.
- Cancel the Return.
- Authorise the Return immediately.
- Print the Return Note, immediately, as part of a batch printing run, or not at all.

The authorisation and printing options are only available if the Returns Officer, entered on the Return, can authorise Return requests.

You can change outstanding Returns. An audit trail of amendments is provided.

You must release unauthorised Returns requests using the Authorisation function before printing Return Notes.

You must print the Returns with printing requirements interactively or via the Print Return Note option, before you receive the returned goods.

Receiving Returned Goods

All goods received must be covered by a Return number. So you can process the correct Return, you can view all outstanding Returns by item or customer. You can enter the Return number directly.

You can receive the returned goods into any of the following three locations:

- Goods Inwards.
- Inspection.
- Stores.

Inventory Management is only updated when you make a receipt (or transfer) into or out of Stores. You can then move items from their original receipt location using the Transfer Returns option.

You can entirely receive a return, or receive the return on a line by line basis. You can enter partial receipts of the line quantity.

If necessary, you must also enter the batch, lot and serial numbers for the item being returned. If you receive the item into an active Warehouse, you must also enter the packing information and expiry date for consumables.

You can update the internal Return Note and return line text at the receiving stage.

You can print the Goods Returned Note (GRN) along with labels. GRN numbers can be automatically generated. Control these options using parameters set on the Company Profile.

Once received, you can use the following facilities for Quality Assurance of the returned goods:

- Transfer goods in and out of the Inspection location.
- Rejection goods for example, where damaged by the customer.
- Scrap goods, with reasons for analysis.
- Optionally create rejection documentation.

Credit Note Creation

You can use the Credit Note Creation function to generate Credit Notes that you can process using the standard Sales Order Processing and Invoicing functions.

Once generated, you process the Returns-based Credit Notes through the printing, Account Receivable and General Ledger updating stages in the same way as Credit Notes raised within Sales Order Processing.

Credit Note creation operates in one of two ways, depending on whether you entered an original Sales Invoice number when you created the return:

- If you used an invoice as the basis for the Return, you credit the items based on the unit price from the original invoice. You can reduce the price but not increase it.
- If you do not use an original invoice as the basis for the Return, then the Credit Note is priced using the Sales Order Processing standard process.

You can raise a credit note for an entire return (all receipts not yet credited), or individually for each receipt with a separate GRN.

You can enter review and amend Credit Note line text. You can enter charges and refunds to the Customer for each Credit Note.

You can stop the creation of the Credit Note until you receive the returned goods into the Stores location. To do this you set a parameter on the Company Profile.

Enquiries

You can group enquiries into three categories:

- Outstanding Return Searches - You can enquire by item, customer, return number, job number and returns officer.
- Return Details - You can display details of a particular Return showing, for each line, receipts to date and location of goods, as well as other details.
- Financial - You can use the standard Sales Order Processing Invoice by Invoice Number enquiry to display details of Credit Notes created through Customer Returns. The Return Note reference code displays to show the Return on which the Credit Note was based.



Note: Refer to the Sales Order Processing product information for details of this enquiry.

Reports

The majority of the reports print on standard listing paper, with 132 print positions and six lines to the inch. In Customer Returns, you can print Return Notes, Goods Returned Notes and Labels on special stationery.

You can group the reports in Customer Returns into three categories:

- Actions. These reports trigger actions, and progress a Return through customer Returns. They are:
 - Print Return Notes
 - Print Goods Returned Notes and Labels.
- Status. These show the current position of the Return within the application and are:
 - Returns Expected
 - Receipts not Credited
 - Returns Commitment.
- Audit. These are:
 - Returns Amendment Audit
 - Receipts and Adjustments.

Implementation Procedure

The recommended steps for implementing Customer Returns are:

1. Fully implement all perquisite applications (Inventory Management, Accounts Receivable and Sales Order Processing - refer to the relevant product information for implementation procedures).
2. Create Customer Returns Company Profile.
3. Set up parameters on the Inventory Descriptions file for Return Reason Codes, Sundry Charge Codes and Scrap or Reject Reason Codes.
4. Create Returns Officers.
5. Create Receiving Addresses.
6. Create Collection Instructions.

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Chapter 5

Inventory Management Overview



Introduction

A system to keep proper control of Inventory is a prerequisite for buying decisions, answering customer questions and deciding the production program. Different organisations require different levels of detail and support for Inventory Management decisions, and indeed this might vary within the same organisation. However, the basics of defining items, recording movement, even calculating balances and providing valuations will be common to all such companies.

The Inventory Management application provides a wide spectrum of facilities for the recording, valuation and management of Inventory. These facilities are the bed-rock on which the interface to the product are built. The application may be installed in a simple organisation which views its Inventory as a single logical unit, or with equal ease in a multi-warehousing organisation with separate raw material, finished goods and component stores. Multiple stockrooms or stores may be created, with the ability to maintain different stock investment policies in each. This is achieved without data redundancy as the same definition is used throughout.

Relationships To Other Applications

Inventory Management is a fully standardised application and as such operates under the control of the system manager.

There are no pre-requisite applications for this module (apart from the system manager), moreover this application is a pre-requisite for all the interfaced applications.

Although the application is designed to operate as a fully integrated application, it can be operated in a very simple fashion as a stand-alone system, including facilities to record sales and purchase activity as well as providing Inventory recording and control.

Application Configuration

As with all applications Inventory Management can be operated for a number of companies, the characteristics of each being maintained on a control file. The application is controlled by setting up data for the company and then for each stockroom within the company. You can add Stockrooms after the initial implementation of the application.

You can set certain policies as a default at the company level. These are:

- Costing Method.
- General Ledger codes.
- Period for usage calculation (week or month).
- Stock Management Policy factors:
 - Method of calculation.
 - Re-order quantity factor.
 - Stock carrying rate.
 - Supply order placement cost.

These policies and parameters are used throughout the operation of the application unless overridden at the level of the item or at the time of the transaction.

It is necessary to define each stockroom where stock will be held. You can set three important policies at this level:

1. You can exclude the stockroom from valuation, that is, for consignment stocks.
2. You can exclude certain transactions from use in the stockroom.
3. You can create a value usage matrix to manage the stock investment policy of the stockroom. Nine value/usage bands may be created and target minimum and maximum weeks of stock defined.

In order to calculate average usage, you must define two factors;

1. The time interval in weeks or months
2. The periods to be taken into account in the calculation of average usage. The time interval is set on the company record and a number of profiles may be maintained detailing which of the previous sixty time periods (weeks or months) will be included in the calculation.

Inventory Management Set Up Data

The maintenance functions of the Inventory Management application enable the creation and amendment of master files and data files which are fundamental to its operation. The application will then build the necessary transaction and movement histories as work progresses.

There are a number of common features in the way in which data is maintained, these are:

- The standard (product) and description search routines.
- A standard method of selecting codes from a displayed list.

The following data can be maintained:

- Standard Codes and Descriptions.
- (product) Master Details.
- Alternative Products.
- Stockroom or Balance Details.
- Calendar.

Standard Codes And Descriptions

A Descriptions or Parameters File is used in most applications for a number of purposes. Primarily, it enables codes to be set up with standard descriptions. This provides for validation at the time of data entry and also the display of descriptions on both screens and reports. In some specific instances a rate is also stored, for example, in the case of the VAT Table. The application has a small number of standard parameters that must be present for its successful operation. The Inventory Management Application Descriptions file is the one used by standard applications. The standard parameters held on this file, therefore, include those required by all Logistics and Customer Services applications.

Item Data

Inventory Management is designed to have a flexible data structure, but without incurring data redundancy. In order to achieve this there is an Item Master record which identifies the item to the application and indeed to all applications. This holds the static descriptive and classification data. If more data is required in Inventory or any other application then a record of that information is set up and maintained in the originating application.

The following are examples of the additional data:

Inventory Management

- Stockroom balance records.
- Lot or batch records.
- Extended internal and external text.
- Alternatives.
- Search family codes.

- Sales Order Processing.
- Pricing Details.
- Default Size Distribution.

Purchase Order Management

- Item/supplier profiles.

Production Applications

- Production profile.

Forecasting

- Item/Forecast profile.

DRP

- Item/DRP profile.

In this way it can be seen that the application requires the entry and maintenance of only that data necessary to run the operational applications in any company's system.

The Item Master details can be grouped into the Static Part record which includes:

- Description.
- Six different Analysis Codes.
- Units of Measure (UOM) - you can define three for each (item).
- VAT Codes.
- Costing method, costs and default General Ledger Codes.
- Sourcing Warehouse (Primary Warehouse).
- Supersession details.
- Search Families.

Stockroom Balance/Warehouse Select

You can define on or more stockrooms for any item. A stockroom is a discrete area within a company where stock is recorded and controlled separately from other company stocks. Depending upon the type of company a stockroom may be used to define divisions, depots, warehouses, stores, an area within a store or even van stock. If such distinctions are not required a single stockroom is created to record the total company stock of the item.

The Static Warehouse information is concerned with:

- Units of measure at the Stockroom.
- Inventory Management Policy and Control.
- Balance Data.
- Costs.
- Preferred Suppliers.

The warehouse select allows the user to select more than one warehouse where the product may be stored, and so on.

Batch Control/Lot Traceability

The ability to track items at Batch or Lot Number is available.

If warehouse control is required, then the Warehousing application should be installed.

Alternative Items

For any item one or more alternatives may be nominated. When you create the relationship you can state whether or not the relationship is reversed. This facility is used by the Sales Order Processing functions to offer customers alternatives if an item is not currently available.

Kit Lists

A kit of items may be set up for use within Sales Order Processing. This is a single level kit with a single parent and any number of components.

Where kits are sold, you need to consider the impact of updates to Sales Analysis.



Note: You can pass details of the whole kit, parent only or components.

Calendar Control

The Inventory Management application must concern itself with dates, week endings and period endings, in order to perform reconciliation, usage calculations and the analysis of information. Both week end dates and period end dates can be maintained for all operational years. These should be set up before processing begins.

Processing

There are four main processing activities involved in the operation of the Inventory Management application. These are as follows:

- Movement Transactions.
- Stock Counting.
- Stock Management.
- Periodic Processing.

The first two functions are concerned with the performance of the stock recording aspects of Inventory, the third is concerned with deciding what stock should be where, and the fourth with building the database to aid management decisions. As the movement transactions are applied to the balances interactively, the displayed balance reflects the latest information in the system. Therefore, supply and despatch decisions can be made in greater confidence. The Inventory application can be installed in isolation. However, if Purchasing, Manufacturing and Sales Systems are installed most of the movements will be performed in these operational systems. The Inventory application will concern itself exclusively with counting, housekeeping and stock management decisions.

Movement Transactions

The primary purpose of an Inventory movement is to record an action within the application and to calculate its effect on the stock balance. In its simplest form a miscellaneous receipt booking straight into Inventory increases the physical stock. However, a Customer Order Issue, will reduce the physical stock and the balance of the stock allocated to orders.

The following movement types are available:

- Customer Order Issue.
- Miscellaneous Issue.
- Purchase Order Receipt.
- Miscellaneous Receipt.
- Adjustment to Physical Stock.
- Adjustment to Allocated Stock.
- Adjustment to Frozen Stock.
- Record Purchase Order.
- Transfer In and Out (Move from one stockroom to another on a single transaction).
- Carton Stock Adjustment.

Each movement updates the appropriate balance field on the item stockroom balance. If the item is defined as being Batch/Lot or Serial controlled you must enter the additional control number. A subset of the balances are maintained for the lower level record.

You can enter costs for the movement and depending upon the movement type and the costing method the database will be updated appropriately.

There are four ways of valuing stock movements. These are:

- Average Cost - The average cost of stock in the stockroom is recalculated every time a receipt is made. This average cost is used to value issues. (Receipts are valued at receipt cost.)
- Standard Cost - The standard cost for the part is either rolled over from the manufacturing application or directly maintained. This cost is used to value all movements, both receipts and issues.
- FIFO Cost - This is the acronym for First In First Out. Each receipt for the Product is maintained as a separate balance and as an issue is made the product is consumed. The first receipt to arrive is the first receipt balance to be used for issues. The cost of the issue is taken from the receipt balance. The FIFO sequence is maintained by time as well as date. If the part is lot controlled then the FIFO operates within lot.
- Latest Cost - This is when the latest cost of the receipt issued to value the stock.

You set the default or preferred costing method on the company profile. However, you can set a different costing method for a particular item, when it is defined. All costs are kept in up to five decimal places of base currency. The latest cost of all the product is recorded and the average cost calculated whatever the costing method. If, for example, the valuation method is FIFO this can be simply compared with the average and latest cost on an enquiry screen.

For each inventory movement a record is written to a transaction file. This provides a full audit trail of movements. The information held includes:

- Movement type.
- Supplier or Customer.
- Quantity moved.
- Value of the movement.
- Resulting stockroom balance.
- Batch/Lot number.
- Date and Time of movement.
- Person responsible.
- Terminal used.

The movement week and period details are determined from the calendar and period files, and set to either the current or next week/period.

You can hold movement history on the system as long as necessary but not less than one month. This information is used to prove the closing balance at the end of the period. It is available for both Enquiry and Reporting to assist investigations into stock inaccuracies and provide the basis of activity analysis.

Stock Counting

Inventory Management provides a simple to use stock counting procedure which incorporates cycle counting. This enables the automatic creation of count recommendations. The following steps are involved:

- Count creation - this is done manually by item ranges, or automatically on a time based cycle.
- Review and maintain count recommendations.
- Request printing of Stock Count sheets.
- Enter counted Stock figures.
- Reconcile Stock Count.
- Post adjustments if applicable.

Products are selected for stocktake by any of the following options:

- Product Number.
- Product Type.
- Product Class.
- Product Group Major.
- Product Group Minor.
- Stockroom.

The application records the stock level of the selected item(s) at the start of the count. This enables everyday processing of movements to continue while stock is being counted and reconciliation to take place on completion of the count. Stocktake count sheets are then produced to the required detail, that is, all levels of inventory records are exploded for the selected items. These may be used as input documents to the following processes.

The total quantity of physical stock of each product counted is entered from the stocktake sheets. This data is validated and a report produced.

Until the stocktake is deemed complete, a reconciliation report of physical stock versus computer stock count is available. This would normally be selected by the same parameters as used when requesting the original stock count sheets. The report highlights the differences between physical and computer figures with actual quantities and value variance. This is to help assess the importance of any discrepancy. On completion of the stocktake the application offers the option to generate automatic adjustment of any unresolved discrepancies. Any variances outside the tolerances defined on the stockroom count profile are designated as count errors.



Tip: Once the count sheets have been requested, no stock movements should take place for the selected products until after the physical counts have been entered and reconciled.

To assist in the reconciliation of any discrepancies a report is available giving summary or detail information of stock movements.

Stock Management

Inventory Management offers a number of stock management techniques including Material Requirements Planning and Distribution Requirements Planning. The Inventory Management application, even in isolation, can be used to operate an order point stock management policy. The main factors in this policy are:

- Average Usage.
- Reorder point and maximum stock.
- Reordering rules.

Average Usage

The usage of an item is held on the stock history file and is maintained either weekly or monthly according to the usage cycle specified on the company profile record. Average usage is re-calculated during week or month end processing as appropriate.

The usage profile defines which of the preceding weeks or months usage are to be included in the calculation of average usage. The product stockroom balance record holds the code for the usage profile which will be used in the calculation of average usage.

Typically usage profiles will be set up to represent:

- Three months moving average.
- Twelve months moving average.
- Seasonal moving average (This would be achieved by taking the previous month and the next month last year).



Note: Care is taken to ensure that the average is only calculated from the start of the products life even though the profile indicated that previous data should be included. This is to ensure that the average is not distorted by the absence of history data.

Reorder Point And Maximum Stock

The parameters of maximum stock, reorder point, reorder quantity and economic order quantity may be maintained for each product in each stockroom. Alternatively, by using the historical usage information, maintained as a result of all movements, the application can calculate these figures. These calculations are based upon grouping products into the categories defined on the stock weeks matrix:

Nine categories are used:

1	Low value	Low usage
2	Low value	Medium usage
3	Low value	High usage
4	Medium value	Low usage

5	Medium value	Medium usage
6	Medium value	High usage
7	High value	Low usage
8	High value	Medium usage
9	High value	High usage

The definition of these groups is held on the stock weeks code matrix which is updated as part of the company profile maintenance procedure.

Limits are set to define the boundaries for high, medium and low usage and value. Minimum and maximum stock holdings, expressed as weeks at average usage, are assigned to each of the nine categories. The minimum stockholding in weeks is the number of weeks stock that will be left after the lead time has expired, and therefore, represents a safety stockholding. Safety stock is a measure of how likely the lead time and average usage are going to increase.

When the procedure to calculate Reorder Point, Maximum stock, and so on, is run, the application reads the stockroom records and re-assesses, for allowed products what the reorder point and maximum stock quantities should be.

The application assesses where the product falls on the value axis of the stock weeks matrix based on its cost. It then determines where it falls on the usage axis based on its average usage.

having assessed which of the nine categories this product falls into, the minimum and maximum stockholding (in weeks) are taken from the matrix and the following calculations performed:

Reorder Point = (Lead Time + Minimum stockholding) * Average Usage

(Lead time and minimum stockholding are expressed in weeks)

Maximum Stock = (Lead Time + Maximum stockholding) * Average Usage

(Lead time and maximum stockholding are expressed in weeks)

Reorder point and Maximum stock are held on the product stockroom balance record.



Tip: Since average usage is used in the calculation procedure, it is best run after the week end or month end processing procedure in which average usage is re-calculated.

The application is also able to calculate an Economic Order Quantity as follows:

$$EOQ = \sqrt{(2 * AU Y * OPC) / ((IC * SCR) / 100)}$$

EOQ = Economic Order Quantity

AUY = Average Usage Per Year

OPC = Order Placement Cost

IC = Item Cost

SCR = Stock Carrying Rate %

Reordering Rules

The application supports five different reordering policies:

- Up To MAX - When expected stock drops below the reorder point the system suggests that an order be placed of sufficient size to take the stock level up to the maximum.
- Reorder Quantity - When expected stock drops below the reorder point the application suggests that the reorder quantity be ordered. This quantity is either set by the user or determined by the application. A Reorder Quantity Factor can be held at stockroom level or a default is held on the Company Profile. If the reorder quantity factor was 30%, the application will recommend action to reorder enough stock to last through 30% of the lead time. If the factor was 200% the application will recommend action to reorder enough stock to last through twice the lead time.
- Up To ROP - When expected stock drops below the reorder point the application suggests that enough stock should be ordered to take the level up to the reorder point again. For example, if the reorder point was set to zero, this rule is the one that would ensure that goods were only reordered when there is demand for them in the form of a customer or manufacturing order.
- Up To Min - When expected stock drops below the reorder point the system suggests that an order be placed of sufficient size, to take the stock held up to the minimum level.
- EOQ - When expected stock drops below the reorder point the system suggests that an order be placed for the calculated or maintained economic order quantity.

Available/Expected Stock

These are calculated as follows:

Available Stock = Physical Stock - Frozen Stock - Allocated Stock - Picked stock

Expected Stock = Available Stock + Stock In Transit + Stock On Supply Order - Stock On Back Order - Stock Reserved

Periodic Processing

Although the Inventory management application is a transaction based system which records events as they happen, many of the decisions concerning stock levels and raising and amending orders are based upon the performance of a product over time. In order to make these decisions it is necessary to be able to view previous periods' activity. This is achieved by maintaining history files, not only of the transactions, but also summarised by type of transaction. These are maintained by running weekly, monthly and year end procedures.

Lot, Grade And Potency

The application enables the recording and maintenance of a range of lots, batches or serial controlled lots and their associated grade, potency, status and availability dates and times. This information is detailed on a lot header which applies to a whole lot irrespective of the lot's location.

- The grade, potency and stock status can be maintained and any modified information is held on file so that history enquiries and audits are possible.
- The location of the lot can be traced and issues, receipts and stock movements details displayed.

Enquiries

The enquiries in the Inventory Management application allow a multi-layer view of a style/product. These layers are:

- Company stock summarised by stockroom.
- Full details of the current balance, usage, and cost at a stockroom.
- The breakdown of a stockroom balance into the batches or lots that comprise the stock holding.
- The movements that gave rise to the present balance.
- The summary of activity for previous periods.

In addition, the reference files are supported by a full range of enquiries.

Reports

The reports produced by Inventory Management can be classified as:

- Status.
- Audit.
- Valuation.
- Movement Analysis.
- Action.

Status reports are provided on the master files and particularly on the item file. Audits with before and after images are printed on request. These include all changes since the previous print.

Most of the reports are supported by both selection and sequence parameters. This helps to minimise the processing time and the amount of paper required.

Implementation Considerations

This section describes the recommended procedures to help you achieve a successful implementation of your new application. This is only intended as a guide to the procedures. When you have read this section and decided on the way in which you are going to set up your application, you should refer to the relevant sections which follow for more detailed information.

It is of vital importance to the success of any software implementation that some fundamental issues of the implementation are considered before any detailed steps are undertaken. In the case of Inventory Management these issues are as follows:

- How do you wish to use Inventory Management and other applications?
- How many Inventory Management companies do you intend to set up?

These issues are usually closely linked, and this section deals with each issue in turn.

Associated Applications

The fundamental point to consider here is what functions do you intend Inventory Management to fulfil? Are you intending to use Inventory Management on a stand-alone basis, and to record all stock movements through its own procedures? If this is the case then this obviously simplifies the implementation, as you only need to be concerned with the set up requirements for Inventory Management.

If, however, you are installing other applications, then your Inventory Management implementation needs to take into account the requirements of those applications. As Inventory Management is a pre-requisite for all the Customer Service, Logistics and Production applications of the system, you can appreciate the need to consider its use in relation to the other applications.

Where Inventory Management is installed with other applications it provides:

- The basic database definition of parts/styles, stockrooms and code descriptions.
- The central repository for information on stock holding, whether at stockroom or lot level.
- The central audit of stock movements and history.
- The source of costing information for the valuation of movements and stock holding.

Other applications, therefore, use Inventory Management as shown in the following examples:

- Purchase Management uses the Inventory item definition; holds on-order information as a stockroom balance quantity; and posts movement transactions to Inventory Management for receipts and returns.
- Sales Order Processing uses the Inventory item definitions; makes use of parameters defined on the descriptions file; holds back order and allocation quantities as stockroom balance fields; and posts movement transactions to Inventory Management for customer issues and returns.

- The Production applications use the Inventory basic item definitions; hold on-order and allocation quantities as stockroom balance files; and post movement transactions to Inventory Management for production order issues and receipts.

In a full implementation, Inventory Management provides both basic data definitions and a transaction repository for a number of other applications. This is, of course, in addition to the functions which are only available within Inventory - that is, the Stock Management and Stock Taking facilities, and the Stock Adjustment Transactions.

When planning your implementation it is important that you consider:

- Which other applications do you plan to install?
- What requirements, in terms of data, will these applications look to Inventory Management to fulfil?
- How will the various stock movement requirements of the business be satisfied - by Inventory Management, or by one of the other applications?
- Will any non-standard/vertical applications require an interface to Inventory Management?

It is important that these sorts of questions are addressed at the planning stage. Inventory Management has a central role in any implementation, and subsequent changes are, therefore, difficult to make without disrupting the operation of other applications. It is worthwhile spending time early in the implementation to plan your use of Inventory Management and its relationship with other applications.

Inventory Management Companies

Inventory Management, like all other applications, allows the simultaneous operation of discrete companies. Multiple companies are used for many reasons, but the major uses are either organisational, or for testing purposes.

A decision to set up multiple Inventory companies for organisational reasons may very well be taken because you require separate inventories. It is more likely, however, that multiple Inventory companies are required because you have separate operational organisations.

For example, you may require separate selling organisations to be reflected in separate companies in the Sales Order Processing and Invoicing application. In a standard installation, this requires separate Inventory Management companies to be created. Inventory Management companies interface on a one-to-one basis with companies in Purchase Management, Requisitioning, Sales Order Processing and Invoicing, Sales Analysis, Telesales, Distribution Requirements Planning and the Production applications.

It can, therefore, be seen that any decision about the use of companies in Inventory Management needs to be taken in terms of the broader implementation.

Basic Data Set Up

Having decided on how you will use Inventory Management in conjunction with other applications and the companies you will use, you need to plan and implement the setting up of the basic data required for the application's operation. The main elements you will need to create are:

- Company profiles.
- Stockrooms.

- Stock weeks matrices.
- Usage Profiles.
- Descriptions.
- Stockroom Details.
- Alternatives.
- Calendars.

The maintenance of these elements is covered in detail in the Application Set up Data section. It is sufficient here to highlight particular issues to bear in mind when planning the implementation.

Two points which may ease the actual setting up of the data are:

1. The use of the Copy Company utility - this is the function which can be used to set up new Companies within Inventory Management. The essential description codes are set up automatically as part of this routine, if a company is created from the company shipped with the application.
2. You may choose to convert some of the volume elements, such as item and Stockroom Details, from an existing system. If you have high volumes this is particularly useful and will obviously save a significant amount of data entry time.

Company Profile

The issues you should address prior to setting up company profiles are:

- Which costing method do you intend to adopt as a company standard? (Standard, Latest, Average and FIFO are available.)
- How do you intend to make use of the user-defined specifications?
- Do you want average usage calculated on a weekly or monthly basis?
- What is to be your default reorder policy?

Stockrooms And Stock Weeks Matrices

You will need to decide how many stockrooms you require. Remember that these may be physical stockrooms or they may be logical stockrooms, for example Quarantine or Written-off stock. For each stockroom you will need to define:

- Whether the stockroom is to be included in stock valuation.
- Which transactions are allowed.
- If the stock management facilities of the application are to be used, you will need to define the stock weeks matrix for the stockroom. Therefore, you will define the parameters of value and usage for the nine item categories, along with the preferred stock levels for each category.

Usage Profiles

The application will automatically calculate average usage based on user-defined profiles. You will need to decide how many of these profiles you need to reflect the different patterns of demand in your business.

Descriptions

The Inventory Management application holds a file of parameter codes and descriptions which is used by itself and other applications. These codes cover such elements as product groups, product types, units of measure, reason codes, and so on. The major codes, that is, the subject headings, are set up automatically if you use the copy company utility to create your company data initially. Before any further data set up can take place you need to decide on the codes which you will require for each of these major headings.

Items

There are a number of issues to resolve prior to setting up your basic item definitions:

- Prior to setting up items - stockrooms must be set up.
- How are the items to be coded? It is generally recommended that the item number should merely be a unique code to identify the item - not a meaningful or structured code.
- How will you use the major analysis codes which can be associated with a item - product major group, product minor group, product type and product class? These codes are important, as many reports allow selection and sequencing by them.
- What are the valid units of measure that you will require?
- Will any parts be subject to a costing method which is not the company standard?
- Which General Ledger accounts do you wish to associate with the item for General Ledger updates.
- What level of control do you wish to exercise over individual items? Do you require lot/batch control, or is part/stockroom the lowest level you require?

Stockroom Details

You must set up a stockroom details definition for each item you wish to hold in a stockroom. The issues to be decided here are:

- What units do you wish the stock balances and unit costs to be expressed in?
- What are the rules regarding the preferred stock level of this item in this stockroom? Are they to be set automatically, or manually? Which re-order policy and usage profile are to be used?
- What is the standard cost?
- Who is your preferred supplier?

Alternative Products

Alternative products are used within the Sales Order Processing & Invoicing application, but are set up and maintained in Inventory Management.



Tip: If you do set up alternatives, it is important to decide whether a relationship is reversible.

Calendars

Immediately prior to processing you will need to set up the current year, period and week details via calendar maintenance. You must also insure that week and period end dates have been set up for the current year.



Note: It should be noted that before processing begins for a new year you need to ensure that the end dates are set up.

Initial Stock Balance Take On

Once all the basic data has been set up, you are then ready to appoint the initial stock balances prior to processing. This task may be undertaken as part of a conversion from another system, but where this is not the case the following inventory movements can be used.

- Physical Stock - use the Miscellaneous Receipt transaction to set the initial shelf stock.
- Allocated Stock - use the Allocation Adjustment transaction to set any existing allocated stock level.
- Frozen Stock - use the Frozen Stock Adjustment transaction if you currently have stock which is unavailable for issue.
- Purchase Order - use the Record Purchase Order transaction to reflect the current supply situation.

It is worthwhile entering these movements all with a narrative indicating INITIAL SET UP, so that they may be readily identified in future. Making use of a standard procedure for this exercise means that a full audit is maintained in terms of movement records.

Menus

The following section details Inventory Management menus.

Inventory Initial Menu

1...
2... /IN

IN	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:53:47
Inventory Initial Menu			
1. Processing			
2. Maintenance			
3. Enquiries			
4. Reports			
5. Updates			
6. Stock Counting			
7. Lot/Grade/Potency			
88. Background Processing			
89. Utilities			
90. Signoff			
Option _____			
Search _____			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change company F18=Prints			
21-11 SF MM KS IM II KENB20A PET166S2			

Inventory Processing Menu

1...
2...

/INP

INP	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:54:08
Inventory Processing Menu			
Stock Receipts		Stock Adjustments	
1. Record Purchase Order		31. Physical	
2. Purchase Order Receipt		32. Allocated	
3. Miscellaneous Receipt		33. Frozen	
Stock Issues		Stock Transfers	
11. Customer Order Issue		41. Record Transfer Out	
12. Miscellaneous Issue (Physical)		42. Confirm Shipment Receipt	
13. Miscellaneous Issue (Available)		43. Single Item (Out and In)	
		44. Multi Item (Out and In)	
Frozen Stock Issues		Frozen Stock Transfers	
21. Miscellaneous Issue		51. Single Item (Out and In)	
		52. Multi Item (Out and In)	
90. Signoff			
Option _____			
Search _____			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SF	MA	KS
F16=Change company		F18=Prints	
II KENB20A		IM PET166S2	

Inventory Maintenance Menu

1...
2... /INM

INM	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:54:29

Inventory Maintenance Menu

- 1. Descriptions
- 2. Items
- 3. Alternative items
- 4. Kit lists
- 5. Stockroom details
- 6. FIFO costs
- 7. Calendar
- 8. Period/week end control
- 10. Linked item maintenance
- 11. Copy based on item creation
- 90. Signoff

Option _____

Search _____

F3=Exit	F4=Prompt	F6=Messages	F12=Previous	F16=Change company	F18=Prints
21-11	SR	ML	KS	IM	II KENB20A PET166S2

Inventory Enquiries Menu

1...
2...

/INE

INE	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:55:25
Inventory Enquiry Menu			
1. Kit list item where used			
2. Descriptions			
3. Item/stockroom			
4. Stock movements			
5. All stockrooms for an item			
6. Stock history			
7. Stock in-transit			
90. Signoff			
Option _____			
Search _____			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SR	MA	KS
F16=Change company		F18=Prints	
II KENB20A		PET166S2	

Inventory Reports Menu

1...
2... /INR

INR	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:55:51
Inventory Report Menu			
Master Files		Stock Movements	
1. Item/Stockroom		8. Movements audit	
2. Descriptions file		9. Movements processed by AFI	
3. Items flagged for deletion		10. Stock movements	
		11. Negative stock	
Master Files Audit		12. Negative stock periodic parameters	
4. Item audit		Stock Analysis	
5. Stockroom audit		13. Re-order/overstock	
Stock Valuation		14. Stock availability	
6. Stock movements valuation		15. Supply/demand exceptions	
7. Stock valuation			
90. Signoff			
Option _____			
Search _____			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change company F18=Prints			
21-11 SF MA KS IM II KENB20A PET166S2			

Inventory Updates Menu

1...
2...

/INC

INC	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:57:28
Inventory Updates Menu			
Regular Updating			
1. Week end update			
2. Month end update			
3. Year end update			
Ad-Hoc Updating			
4. Calculate ROP, max stock etc.			
Stock Count Procedures			
5. Stock Counting for Stockrooms			
6. Stock Counting for Warehouses			
90. Signoff			
Option	☐		
Search			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SF	MA	KS
F16=Change company		F18=Prints	
IM		II KENB20A PET166S2	

Inventory Stock Counting Menu

1...
2... /INS

INS	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			16:58:13
Inventory Stock Counting Menu			
Count Profile		Count Documentation	
1. Maintenance		41. Print count sheets	
2. Enquiry		42. Reprint count sheets	
ABC Classification		Count Reconciliation	
11. Regenerate ABC classifications		51. Without update	
		52. With update	
Create Count		Count Enquiries	
21. ABC recommendations		61. Recommended counts	
22. Manual range		62. Outstanding counts	
Maintain/Record Count		63. Item count summary	
31. Maintain count		64. Count history	
32. Enter count details			
33. Complete count lists		90. Signoff	
Option _____			
Search _____			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change Company F18=Prints			
21-11 SF MA KS IM II KENB20A PET166S2			

Inventory Lot/Grade/Potency Menu

1...
2...

INL

INL	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			17:20:44
Inventory Lot/Grade/Potency Menu			
Maintenance		Enquiries	
1. Lot header		21. Grade	
2. Grade		22. Grade history	
		23. Stock status	
		24. Stock status history	
Processing		25. Potency	
11. Stock status recalculation		26. Lot trace	
12. Single lot transformation			
13. Multi lot transformation		Reports	
		31. Lot header defaults audit	
		32. Shelf life	
90. Signoff			
Option	☐		
Search			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change company F18=Prints			
21-11 SF MK KS IM II KENB20A PET166S2			

Inventory Background Processing Menu

1...
2... /INB

INB	NR - Neil Radford and Co. Ltd	User GBJBA1MS	13/08/96
			17:21:18
Inventory Background Processing			
Background Processing		Test Subsystems	
1. Start stock monitor		11. Test subsystem creation	
2. End stock monitor			
3. Start reservation monitor			
4. End reservation monitor			
5. Start pricing monitor			
6. End pricing monitor			
7. Start invoice refresh monitor			
8. End invoice refresh monitor			
9. Start restrictions monitor			
10. End restrictions monitor			
90. Signoff			
Option _____			
Search _____			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change company F18=Prints			
21-11 SF MA KS IM II KENB20A PET166S2			

Inventory Utilities Menu

1...
2... /INU

INU	Z1 - GB Demonstration Company	User LOAN	05/12/96
			15:38:13
Inventory Utilities Menu			
Maintenance		Integrity/Reconciliation	
1. Company		16. Database integrity	
2. Stockroom site		17. Allocation reconciliation	
3. Reference numbers		18. On order reconciliation	
4. Document text profiles		19. Audit negative FIFO	
5. Default text types		20. Recalculate nominal Sec. values	
Data Creation		Data Deletion	
11. Copy company		21. Company deletion	
12. Rebuild item search		22. Delete history and movements	
13. Renumber item search words		23. Delete FIFO/lot details	
14. Set balance quantities to zero		24. Purge stock counts	
15. Build item deletion logical files		25. Purge count details/action lists	
89. Processing profiles and AFI		26. Item deletion	
90. Signoff		27. Delete shipment receipts	
Option _____		28. Audit file purge maintenance	
Search _____		29. Submit audit file purge	
		30. Audit purge-machine mgr parms	
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
17-58	SF	MM	KS
F16=Change company		F18=Prints	
IM		II EDN400A PET149S1	

Processing Profiles And AFI Menu

1...
2... /INW

INW	NR - Neil Radford and Co. Ltd	User GBJBA1MS	30/07/96
			11:51:04
Inventory Processing Profile/AFI			
Processing Definition			
1. Processing profiles			
AFI Stock Movements Extract			
2. Test			
3. Live			
4. Install Inventory/AFI link			
90. Signoff			
Option _____			
Search _____			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SF	MM	KS
F16=Change company	F18=Prints		
II	KENB20A	PET166S2	

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Chapter 6

Document Processing Overview



Introduction

Document Processing is a module that is used by other JBA System 21 modules for data set-up purposes.

Sales Order Processing uses the Document Processing module in order to produce combined despatch/delivery notes.

Advanced Shipping uses the Document Processing module in order to set up data streams for producing shipping labels.

Relationships To Other Applications

Document Processing is used by the Sales Order Processing module in order that combined despatch/delivery notes can be generated. The Document Processing Processing menu option is specific for this purpose.

Document Processing is used by the Advanced Shipping module, in order to set up data streams to be sent to dedicated barcode printers for shipping labels. The Document Processing Maintenance menu option is specific for this purpose. Shipment labelling is switched on in the Advanced Shipping module,

Menus

The following section details Document Processing menus.

Document Processing Initial Menu

1...
2... /DY

DY	Z1 - GB Demonstration Company	User GBJBAP2	10/03/98
Document Processing Initial Menu			16:07:12
1. Processing			
2. Maintenance			
89. Utilities			
90. Signoff			
Option	_____		
Search	_____		
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change company F18=Prints			
21-11	SA	MW	KS CL IM DM II MARVIN KB PKH316S1

Document Processing Menu

1...
2...

/DYP

DYP	NR - Neil Radford and Co. Ltd	User GBJBA1MS	15/07/96
			15:35:23
Document Processing Menu			
Delivery Documentation			
1. Print selection			
2. Reprint selection			
10. Document pricing			
90. Signoff			
Option	☐		
Search			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SF	MM	KS
		F16=Change company	F18=Prints
		IM	II KENB20A PET178S2

Document Processing Maintenance Menu

DYM	Z1 - GB Demonstration Company	User GBJBAVP2	10/03/98
Document Maintenance Menu			16:12:52
Maintenance			
1. Document Format Maintenance			
2. Printer Driver Maintenance			
3. User Device Overrides			
90. Signoff			
Option	█		
Search	_____		
F3=Exit F4=Prompt F6=Message F12=Previous F16=Change Company F18=Prints			

21-11	SA	MW	KS CL IM DM II MARVIN KB PKH316S1

Document Processing Utilities Menu

1... /DYU
2...

DYU	NR - Neil Radford and Co. Ltd	User GBJBA1MS	15/07/96
			15:38:41
Document Processing Utilities Menu			
Delivery Documentation			
1. Start document extraction monitor			
2. End document extraction monitor			
90. Signoff			
Option 2			
Search			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-12	SF	MM	KS
F16=Change company		F18=Prints	
II KENB20A		PET178S2	

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Chapter 7

Sales Order Processing Overview



Introduction

To facilitate the growth and expansion of a company, the package has incorporated multi-currency and European functionality. European functionality calculates the correct VAT and identifies the payment terms for the order.

The module is designed to support a rapid 'data entry' style of order entry for use when very few changes or overrides are required. Transcriptional order entry supports the greatest level of flexibility including a prompt to assist in offering an alternative item or sourcing from another depot.

Although the module contains a variety of pricing and discounting routines, in certain circumstances it is necessary to enter a negotiated price or discount. The order will be suspended if non standard conditions arise during entry, such as zero pricing or credit check failure. This allows order taking to continue unhindered, but errors are trapped.

Day to day decisions are supported by a range of enquiries which enable; stock availability to be projected into the future, customer credit to be examined and orders to be displayed by customer's reference, item number and account.

Relationship to Other Modules

The Sales Order Processing module is a fully standardised module and operates under the control of System Manager. When the Sales Order Processing module is installed, two major areas must be considered. These are:

- Whether the pre-requisite modules have already been installed and, if so, whether they set up in a way which is suitable for the operation of Sales Order Processing.
- The ways in which the functions and facilities of the Sales Order Processing module are used to satisfy the company's basic needs.

The following modules are pre-requisites to Sales Order Processing:

- System Manager
- Inventory Management
- Accounts Receivable

Normally, Sales Analysis would be installed with Sales Order Processing to provide flexible enquiry and reporting on the sales activity of the company.

Document Processing can be installed to provide the ability to produce combined despatch and delivery notes, if required.

A company must be defined within the Inventory Management module before it can be available in the Sales Order Processing module. Similarly, Sales Order Processing will raise invoices for all despatches made from the company and it will expect to post them to the customers' accounts in Accounts Receivable.

There is, therefore, a simple relationship between the modules for one company; Accounts Receivable, Sales Analysis and Sales Order Processing modules must share the same two character company code.

A number of Sales Order Processing functions depend directly on data held in the Accounts Receivable and Inventory Management modules. These are:

- The currency of the Sales Order Processing module. This is determined by the currency setting for the Accounts Receivable company.
- The currency of a customer is determined by the currency setting on the customer's Accounts Receivable account. However, this can be changed at order level.
- Sales Order Processing may only sell kits which have been set up and maintained within the Inventory Management company.
- Only alternatives set up in the Inventory Management company will be prompted as replacements for shortages during sales order entry.
- Stock allocation is usually performed by examining the order and choosing the stockroom/depot for the order line. In order to provide a larger picture of the stockroom movement, allocation by item is now possible. The items must be defined to a valid Sales Order Processing depot.
- The payment terms and discounts are defined in the Accounts Receivable customer account. These parameters are essential for an accurate

calculation of the invoice, and the invoice release date. These can be re-defined for a customer at the order level.

- Sales made for kits can update Sales Analysis in a number of ways. These options are controlled on the Item Master record.
- The analysis codes on the Item Master record are not only used within the Inventory Management module for reporting, but also form the basis of Sales Analysis. Considerable care must be taken to ensure that the coding structure set up will meet the analysis needs for the foreseeable future. This is because the regeneration of the Sales Analysis database can take a long time.

Application Configuration

Sales Order Processing can be operated for a number of companies, the characteristics of each being maintained on a control file. The module is controlled by setting up data for both the company and each depot. This would normally occur after the Inventory and Accounts Receivable companies have been created. The Accounts Receivable, Inventory, and Sales Order Processing modules all use the same company codes for interfacing.

Certain data and policies may be set up as a default at the company level. These are:

- Company name and address
- Document reference numbers for orders and invoices
- Defaults for additional customer details
- Borders printed on documents
- Nominated fields for use as search arguments for customer selection

These policies and parameters will be used throughout the operation of the system unless overridden at customer or order level. When the Inventory module is set up, a number of stockrooms may be created. These will be created for a number of purposes, only some of which may be concerned with sales and distribution.

Any stockroom from which sales are to be made must be designated as a depot and defined as a depot within Sales Order Processing. As well as address and contact information, allocation parameters can be maintained for each depot. The other essential factors that need to be considered before the order process can be fully operational are:

- Company profiles
- Depot profiles
- Price & discount lists
- Customer details
- Descriptions
- Items
- Alternatives
- Kits

Company Profile

The module requires defaults to be set up prior to undertaking the order process. These can be defined in the company profile, and will apply to all the customers within this company. The issues that need to be addressed are:

- Will you wish generally to allow back orders and part deliveries?
- What is the default priority which you wish to give to new orders, and what are the steps by which that priority is to be incremented when allocation fails?

- Do you want to allow the option of forced allocation, i.e. allowing the operator to commit more than the available stock?
- Do you, as a rule, wish to price orders at order, or despatch time?
- Which fields in the customer database do you wish to use to form part of your customer search facility?

Application Reference Data

There are a number of common features in the way in which data is maintained within the system. These are:

- The standard item search routine which is used to identify items
- The standard name and address search routine which is used to identify customers
- The standard method for selection of a code or item from a displayed list The following reference data can be maintained: Standard Codes and Descriptions
- Customers
- Prices and Discounts

Standard Codes and Descriptions

A descriptions or parameters file is used by most modules for a number of purposes. Primarily, it enables codes to be set up with standard descriptions. This provides for validation at the time of data entry and also the display of descriptions on both screens and reports. In some specific instances a parameter or number is also stored. For example, the case of value added tax percentages.

The module has a small number of standard codes and parameters that must be present for the successful operation of specific functions. These are commonly maintained in the Inventory Management module as it is the base module for both Customer Services & Logistics and Production modules.

However, they can be maintained from most modules, including Sales Order Processing. There are codes specific to Sales Order Processing which you will need to set up, for example customer classes, cash discounts, extra charges, sales analysis groups etc.

Customers

The information held in the system for customers is of equal interest to those managing and collecting the debt as to those recording and progressing sales orders. The maintenance routines in each module reflect their specific requirements. They both, however, create and maintain a common database with access to common and exclusive information. For example the Sales Order Processing module provides functions to control stock allocation, pricing and sales analysis coding.

The structure of customer information can be manipulated to match the structure of the customer's organisation. Customer accounts can be set up as single accounts, or as 'statement accounts' with many 'invoice to accounts', each of which may have many 'delivery accounts'.

Statement Account

This is shared with the Accounts Receivable module. This is created in Accounts Receivable. The data held at this level includes credit details, Accounts Receivable parameters and statistical codes.

Invoice Account

If the statement account address is not the same as the invoice address, a separate invoice account needs to be set up in Sales Order Processing. This account does not have sales orders assigned to it. Instead the despatch account contains a field in which you can identify an invoice account. The invoice account will contain the address of the customer where the invoice for those deliveries should be sent.

Despatch Account

Many despatch addresses may be set up for an account. This is done by adding a three-character suffix to the eight-character statement account code.

Additional Information

Each account to which items are delivered may have additional data to act as defaults during order entry. It includes data on sales depot, price list, discount list, allocation priority, back order parameters, part deliveries and analysis codes. This enables different parts of a customer's organisation to have different commercial terms and be serviced from a different depot.

Prices and Discounts

The system provides for pricing to be performed at both order entry, using customer and item criteria, or at despatch. Alternatively, prices and discounts may be set manually. Many price and discount lists can be set up. This may be necessary for a number of reasons, for example, different market sectors, customers or multiple currencies.

Discounting can be based upon quantity or value and may be given in terms of percentage or value. A discount may apply to an item, a range of items or the whole order. Customers may be entitled to settlement discounts depending on their method of payment and their terms. However, certain considerations must be examined before setting up the price list:

- Who, within your organisation, will be allowed to maintain lists? This authority is specified on the price/discount list profile which must be set up for each list.
- How many lists do you require? Will you wish to set up lists which are unique to individual customers, or for use on special orders?
- Within your discount lists, will you be able to specify discounts for groups of items, or are they to be specified for individual items? Will you use whole order discounts?

Effectivity dates can be used to control the module of new prices and discounts.

Price Lists

A price list can be used throughout the company or for an individual customer. Price lists are identified by a code which is held as part of the customer additional information.

The item entries within a price list have an effectivity start date so that price changes may be entered on the system in advance of their commencement.

Global increases by percentage can be applied to an individual price list. A new list may be created by copying an existing list.

Discount Lists

A discount list can be applied throughout a company or to an individual customer in a similar manner to price lists - the appropriate code being set up on the customer additional information record.

Discounts can be based on quantity or value breaks, either in the form of a percentage or an amount.

A discount can be allocated to an individual item, or alternatively the same discount can be given to all items in a discount group. A discount group is an attribute of an item and is set up in Item Maintenance to group related items for discounting purposes.

Order Processing Cycle

Sales Order Processing has five main procedures:

- Enter order details
- Stock allocation
- Pricing, discounting and credit checking
- Pick items from stock and despatch
- Raise invoice

Each one of these procedures has a number of tasks each with a large number of options.

Enter Order Details

The Sales Order Processing module provides two major types of order entry. The first is designed for rapid data entry with no dialogue with the customer at the time of entry. This would typically be used where orders have previously been entered on an order pad, and a high customer service level means that most items will be allocated and thus, few overrides are required, for example changing stockrooms.

To complement this, conversational order entry is designed to support a dialogue with the customer, offering alternatives in a short stock situation and agreeing price and discount changes.

Both types of order have three phases:

- Order header
- Order lines
- Extra charges

Order Header

The customer is identified and the standard defaults such as pricing, allocation rules, currency, supplying depot and trading terms are retrieved. The currency of an order may be changed to any currency specified in the General Ledger if the customer is able to place multi-currency orders. The payment terms for the customer can be overridden on this level, to include cash and staged discounts.

Order Lines

For transcriptional order entry, a data entry form is displayed to allow high speed entry of many order lines. Validation is performed when the entry is complete. Pricing is normally automatic, although overrides are possible. Stock allocation is performed in a batch run when all of the order lines due for despatch are matched against available stock.

Conversational orders are entered one item at a time with the opportunity to discuss availability and offer alternatives. In this instance stock allocation is normally interactive, taking into account the required due date for the order line.

Extra Charges

Standard extra charges are held on the descriptions file. These may be viewed and added to an order during the closing procedure. The actual charge value may be retrieved from the file or entered specifically for the order.

Order Acknowledgement

As a way to inform customers that their orders are being processed you have the option to print out acknowledgements.

Stock Allocation

When an order line is considered for allocation, whether interactively or in batch, the due date is compared with the allocation time fence for the depot (this time fence is the number of days required to prepare and deliver orders to the customer). Thus stock is allocated as late as practical and maximum flexibility is retained.

During batch allocation it is necessary to sequence order lines for allocation to enable high priority orders to be met. The priority of an order can be taken from the customer or entered at order time. If low priority orders are not satisfied their priority can be increased automatically. This means that at the time their priority becomes the highest and they take precedence.

During stock allocation you may find stock shortages, so it is possible to identify alternatives.

Alternative items and kit lists are used within the Sales Order Processing module, but are set up and maintained in Inventory Management. If you do set up alternatives, it is important to decide whether a relationship is reversible. Where kits are used, the issues relating to the update of Sales Analysis need to be addressed, such as whether details of the whole kit, parent only or components only should be passed. The indicator governing this update is maintained on item definition in Inventory Management.

Pricing, Discounting And Credit Checking

In order to get the full benefit from computerised Sales Order Processing, pricing and discounting should be performed by the system. This means that it must have a fundamentally flexible approach to pricing and discounting. The actual price and discounts charged are a function of the trading relationship with the customer, therefore, the trading currency is assumed to be the prime currency of the customer's account. Similarly the price list to be used and the discounts to be given are taken from the 'deliver to' account of the customer. This information is part of the additional data held for customers.

If a price is not found for the nominated list then the optional default price list will be used; this is conditioned by customer. If a discount is not found for the nominated discount list then the default discount list (ALL) is checked.

It is normal for the prices charged on the invoice to be dependent upon the date the order is received. There are a small number of instances where the price and discount is determined at the time of despatch. The Sales Order Processing system provides for these decisions to be made for the company in general, or specifically for the order. Prices and discounts are defined as follows:

Price

In the prime currency of the customer account. Taken from a price list at order entry or despatch.

Entered and fixed at order entry. Expressed in the selling units of the order (multiplied by a conversion factor on the price list if required).

Discount 1

A percentage determined as either:

- a discount for the item as given on the discount list, depending upon the quantity or value of the item sold.

Or

- a discount for the item group given on the discount list, depending upon the quantity or value of the item sold.

Discount 2

A percentage determined as a discount for the whole order as given on the discount list, depending upon the value of the whole orders.

Credit Checking

Credit checking does not prevent the entry of an order into the module. However, orders that fail a credit check are suspended, i.e. are ignored by stock allocation and have to be released. Credit checking is performed when:

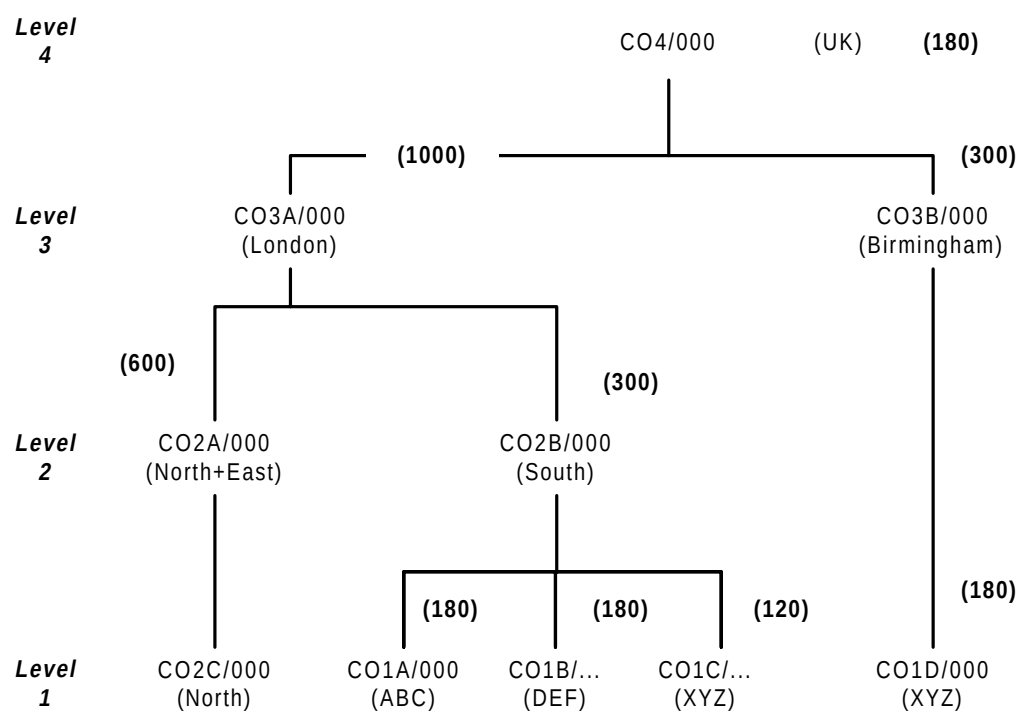
- The order is entered, in which case the outstanding debt is compared with the credit limit and the credit stop flag is checked.
- Allocation takes place, when the outstanding debt and the current outstanding allocations are both considered. This is checked by calculating the:

- *Allocated value of the order + credit commitment*
- where the credit commitment is the sum of the current balance, the value of outstanding orders, the value of goods despatched not yet invoiced, plus the value of any bills accepted or at risk

The module provides for the storage of two credit limits - commercial and insured. The commercial value is used for credit checking purposes. Orders for customers who have exceeded their credit limit are suspended with the code 'CL', and for customers who have been placed on credit stop with the code 'CS.'

Hierarchy Credit Checking

The credit check and account summary balance update functions within Sales Order Processing, take account of any payment hierarchies in which the customer is defined. i.e. Consider the following hierarchical relationship:



Key: Credit limits in bold

When the credit checking process takes place it is performed at each level. (Refer to the diagram whilst following the example).

Example 1:

ABC place an order for £180: CO1A/, CO2B/, CO3A/ and CO4/ credit limits checked. If the credit check passes, stock allocation takes place and the credit commitment is increased.

ABC place another order for £50: the first order is not yet cleared, therefore the available credit is currently at £0.00. CO1A/ fails the credit check. The order is suspended and reason code 'HL' is assigned to it.

DEF place an order for £180: CO1B/ credit limit is checked and passed. But when CO2B/ credit limit is checked the order is suspended, code 'HL'.

The reason for this is that the available credit for CO2B/ has been reduced to £70 after ABC placed their order (account is still outstanding).

The credit checking process will also examine the status of the customer's account. The account may be flagged to indicate it is on hold for a number of reasons, e.g. too many outstanding debts, legal proceedings in progress. If this is the case higher up in the hierarchy it will affect the customers that are defined in the lower levels.

Example 2:

Account CO3A/ is stopped and ABC place an order for £50: CO1A/ and CO2B/ accounts pass the credit checking process. However, the order is still suspended as the higher account CO3A/ is on hold. This will be indicated by the suspension code 'HS'.

Or

Account CO4/ is being taken to court and ABC place an order for £50: account CO1A/ CO2B/ and CO3A/ all pass the credit checks. But the order is again suspended as the higher account CO4/ has been flagged as status L. At order entry the suspension code 'HT' will be assigned to the order.



Note: The suspension codes can be viewed by the description enquiry in the menu. They are held in the description file, major type 'SUSP'.

Refer to the Hierarchy Account for more details on the hierarchical customer structure.

Hierarchy Accounts

The hierarchical account structure is a feature within Sales Order Processing. The system will allow you to have up to 4 different levels of customers, whereby, you can have a parent account with a lower level of ordering customers.

For example, XYZ HQ is the parent customer and the XYZ retail shops are the second level of customers.

The levels are described below:

Level 4:

This is the highest level. It can be used to identify a parent establishment, which is likely to receive summaries of lower level activities, e.g. UK HQ. However, it is not a mandatory account and you are not permitted to assign any orders to it.



Note: You can have vertical and horizontal branches of level 4 attached to existing level 4 accounts.

Level 3:

Although no orders can be assigned to this account level, this is a mandatory account, e.g. London Office. It is used for financial account posting into the General Ledger, using the Accounts Receivable balance



Note: You cannot have vertical branches of level 3. But you can have horizontal accounts of level 3 attached to a level 4 account.

Level 2:

This is an optional account, e.g. South London Office. No orders can be assigned to it. Its purpose is purely financial for cash allocation. Refer to the cash allocation of Accounts Receivable for more information.



Note: You can have both vertical or horizontal branches of level 2 attached to level 2 or 3 accounts.

Level 1:

This is the lowest level of account possible. All orders are assigned to customers of this level, e.g. ABC. It is mandatory for the Sales Order Processing module. The Accounts Receivables Ledger will be updated with postings from these accounts, through invoicing. Refer to Invoicing for more details on invoicing.



Note: You cannot have vertical branches of level 1. But you can have horizontal accounts of level 1 attached to level 2 or 3 accounts.

To set up and maintain hierarchy accounts refer to customer maintenance of the Accounts Receivable Product Information. The main impact of hierarchy accounts for Sales Order Processing is credit checking. This takes place at order entry and allocation, and is affected by all the levels of accounts for that customer.

Picking and Despatching

Selection is provided to ensure that only the picking documents required are actually printed. This selection can be for a number of days, a range of order numbers or a particular depot. This allows documents associated with allocated orders to be printed only when action is required. This is particularly useful in dealing with large export consignments.

When a picking note is printed all allocations, irrespective of when they were made, are included. This stops documents being produced unnecessarily. If the Warehousing module is installed, it must be used to despatch orders from warehouses in a similar manner. It is then possible to print consolidated picking lists sequenced by location.

When the order has been physically despatched the module needs updating. A number of options and facilities are provided.

- A number of despatches may be confirmed together provided that the despatch method and the despatch date are common, and the order details require no changes.
- An order can be confirmed on its own. This enables additional charges to be added.
- An individual despatch may be displayed, amended where necessary and then confirmed.

For lot/batch/serial controlled items details of lots/batches must be specified to the despatch lines. This provides the system with information for stock management and item traceability. These features are useful to locate the source of an item sent out to customers.

For example, if a damaged batch of wallpaper has been delivered to a customer, instead of freezing all stocked wallpaper, it would be more effective to identify the wallpaper batch/lot source and freeze only those from that particular batch/lot. Orders can be altered so that another stockroom/depot can be used for despatch items.

Invoicing

There are a number of ways to request an invoice. These are:

- Confirm the despatch of an order
- Request a miscellaneous invoice - with stock update
- Request a miscellaneous invoice - without stock update

There are also requests for credit notes that operate in an identical fashion to the requests for miscellaneous invoices.

When an invoice or credit note is generated in the system, prices and discounts are either taken from the order, as in the case of a confirmed despatch, or created during entry using standard rules. There is a special facility to produce a credit note that is based on an invoice. This can be used to reverse a previous invoice that was perhaps raised in error.

Having generated the invoice or credit note a procedure is run to post the transactions to Accounts Receivable and the General Ledger, and to print documents. Invoices and credit notes are printed as two separate documents.

An invoice will be raised and printed in the prime currency of the customer's account. Postings will be in both prime currency and the base currency of Accounts Receivable. The data that is passed to the Sales Analysis module will be in the base currency of the company.

Invoices can be presented to customers as:

- One invoice per despatch.
- One invoice per day.
- One invoice per week.
- One invoice per period.

The level of consolidation is defined for each customer delivery account.

This means numerous despatches to a single delivery address can be consolidated on to a single invoice. Each despatch is detailed on the invoice at line level with charges as applied.

Invoices can only be produced for a single currency, therefore multiple invoices can be processed for an invoice account within the consolidation period, for multi-currencies.

Orders raised with an invoice address override are not consolidated and will produce an invoice for each despatch.

Credits and sundry invoices are not consolidated and a separate document is produced for each one raised.

The system determines when an open invoice is to be closed, posted to Accounts Receivable and printed during the invoice print procedure. This is based on:

One Invoice Per Despatch (And Sundry Invoices And Credits)

Processed during the invoice print following creation.

One Invoice Per Day

Processed during the first invoice print after the date of consolidation.

One Invoice Per Week

Processed during the first invoice print after the Inventory week-end date for the week of consolidation.

One Invoice Per Period

Processed during the first invoice print after the Inventory period-end date for the period of consolidation.

Bills Of Exchange

Bills of Exchange may be created by the Sales Order Processing module as part of the invoice run, one proposed Bill of Exchange being sent to the customer for each invoice.

This Bill of Exchange may be signed by the customer and returned, or they may issue their own Bill of Exchange, possibly to cover several invoices. This is then registered on the Cash Management module and may be allocated against invoices in the normal way. The exposure is monitored until the Bill of Exchange is cleared.

Enquiries

A significant part of the work done in a busy sales office is answering queries. These are typically regarding:

- The status of an order
- The prices being charged and discounts given
- The date on which a delivery can be expected

Invoice or credit note queries The system provides a comprehensive range of enquiries to view:

Orders By :

- Order
- Customer
- Item
- Cross Reference (customer reference)
- Despatch notes

Invoices By :

- Invoice
- Order
- Customer
- Item

Stock Availability :

- Time-phased expected stock position.

Stock Position :

- Stock holding at each depot.

As well as these day-to-day enquires, the following module reference data can be displayed:

- Customers
- Items
- Price Lists
- Discount Lists

Reports

Reports can be grouped into reference data, status, exception and action reports.

Reference Data :

- Customers
- Items
- Price lists
- Discount lists

Status :

- Outstanding orders
- Back orders
- Stock versus outstanding orders
- List of orders

Exception :

- Unconfirmed picking notes
- Suspended orders
- Orders with zero price
- Gross margin exceptions
- Selling price overrides
- Zero value invoice lines

Action :

- Pick lists

Initial Data Take-On

Once all the basic data has been set up, you are ready to use the module to process sales orders. You may wish to convert outstanding sales orders from another module - this may be done by specially-written programs.

Alternatively, you may decide to continue to process existing orders on your old module and enter new orders, from a given date, into the new module. By this method you may gradually run down orders on the old module and build the order bank on the new, but great care must be exercised over the updating of the inventory figures.

Operational Considerations

This section describes some operational considerations.

Roles/Responsibilities

- Integration of the Sales Order Processing module with other modules
- Day-to-day supervision of the running of the Sales Order Processing module.
- System maintenance
- Utilities work
- Order entry and processing

User Profiles

- Should some users be given limited access?

Interfacing to Other Modules

- Sales Ledger
- Inventory Management
- Telesales
- Advanced Order Entry
- Warehousing
- Sales Analysis

Conversion

- Existing customers - additional details need to be set up and search paths need to be established
- Existing items - search paths need to be established
- Existing back orders - leave on the old system or re-key on to the new?

Company Profile Set Up

- What fields are going to be used for customer search?
- What operational defaults need to be provided?

Processing Orders

- What type of order entry is to be used?
- What are the company standards over the use of internal and external text?
- If transcription order entry what type of allocation?
- Dual purpose picking/despatch notes or separate ones?
- Are manual pick lists going to be used?
- What type of confirmation of despatch is to be used?
- How often should the documentation options be run?

- How often should the batch jobs be run?

Reports

- Which reports should be run?
- How often?

User Notes

- Essential

Utilities

- When should validations be run?

File Maintenance Summary

When you are setting up your system it is important that you carry out file maintenance in the right order. Points to bear in mind are:

- Company profiles must be set up first
- The descriptions file must contain the necessary codes before customers and items are set up
- Discount list profiles, price list profiles and depot profiles must exist before setting up customers.

The following would work well:

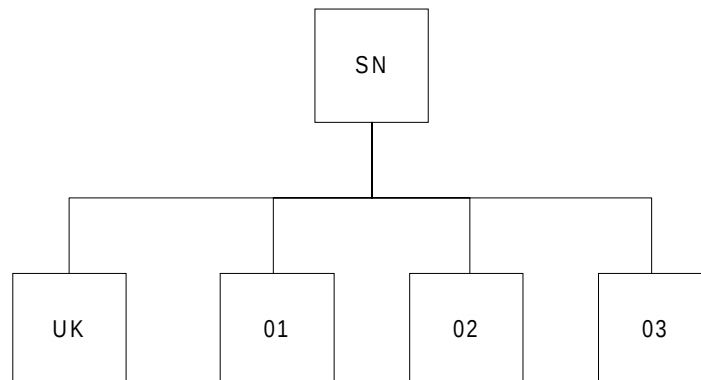
- Maintain Company Profiles
- Descriptions Maintenance
- Depot Profiles Maintenance
- Price/Discount Profiles Maintenance
- Customers Maintenance
- Price Lists Maintenance
- Discount Lists Maintenance

Descriptions File Maintenance

The Descriptions file is used by the Sales Order Processing module to define valid parameter values for the module. Parameter files are used by the system for a number of reasons. They enable codes to be used at data entry time instead of typing in long repetitive data. This also enables coded data to be checked for integrity. Once they have been set up and checked, parameter files help to ensure that data input is both accurate and acceptable to the system. Some areas in SOP where codes are used are:

- Customer sales details
- Invoices
- Prices list file
- Depot file

To aid code entry and usage the codes are grouped together in 'family' units. For example all of the sales region codes are grouped together and all of the suspension codes are grouped together. A 'family' is identified by a major type code. Each 'family' member is identified by a description code e.g. for sales region the major type is SN and the description codes are defined by the user.



The system is supplied with all of the major types that you need already defined. General use description codes are also defined, but any unique to your company will have to be defined by you.

Distribution Menu Codes

Inventory Management

IN	Initial Menu
INP	Processing Menu
INM	Maintenance Menu
INE	Enquiries Menu
INR	Reports Menu
INC	Updates Menu
INS	Stock Counting Menu
INL	Lot/Grade/Potency Menu
INU	Utilities menu

Sales Order Processing

OE	Initial Menu
OEP	Processing Menu
OEM	Maintenance Menu
OEE	Enquiries Menu
OER	Reports & Batch Menu
OEA	Advanced Pricing Menu
OED	Retrospective Discounts Menu
OEU	Utilities menu

Purchase Management

PM	Initial Menu
PMP	Processing Menu
PMM	Maintenance Menu
PMR	Reports Menu
PMU	Utilities menu

Purchase Requisitioning

RQ	Main Menu
RQP	Processing Menu
RQM	Maintenance Menu
RQE	Enquiries Menu
RQR	Reports Menu
RQU	Utilities menu

Sales Analysis

SA	Initial Menu
SAP	Processing Menu
SAM	Maintenance Menu
SAE	Reports And Enquiries Menu
SAU	Utilities menu

Advanced Order Entry

AO	Initial Menu
AOP	Processing Menu
AOM	Maintenance Menu
AOR	Reports menu

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-
-
-
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Chapter 8

Purchase Management Overview



Introduction

As the variety in price, quality and choice continues to increase in the marketplace, the necessity for effective purchase management increases in importance. A comprehensive purchase management system can ensure a cost effective and accurate supply of items. Purchase Management provides the necessary information and facilities in the following key areas:

- Order Creation
- Order Follow-Up
- Container Tracking
- Goods Receiving
- Quality Assurance
- Invoice Matching
- Centralised Purchasing
- Performance Analysis

You tailor Purchase Management to your company's specific requirements using profile and parameter files.

The module is multi-company and multi-currency.

Relationship to Other Modules

Purchase Management is designed to be used in conjunction with the following modules:

- Inventory Management
- Advanced General Ledger and Accounts Payable
- Cobwebb
- Requisitioning
- Warehousing
- World Trade

The Company Profile is used to identify which modules are interfaced.

Inventory Management

Before using Purchase Management Inventory Management must be installed.

Purchase Management uses the Inventory Management Item Master file to specify items, and Inventory Management stockrooms to locate items.

On order and physical stock balances are maintained by Purchase Order Entry and Goods Receiving functions.

Purchase Management writes stock movements to Inventory Management.

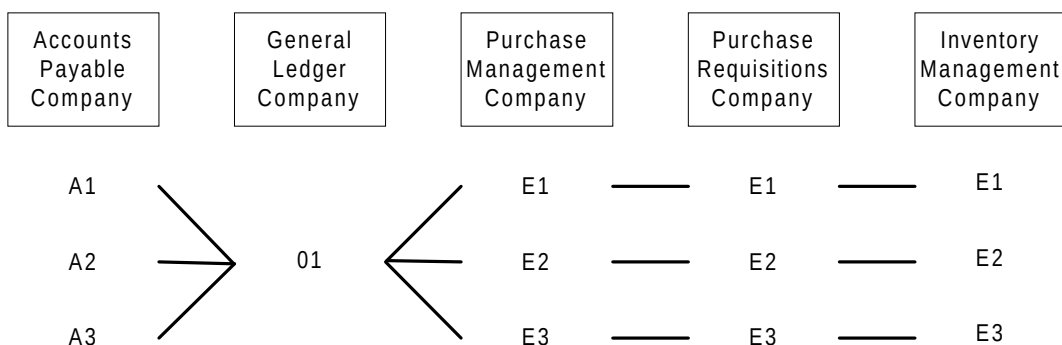
Cost details in Inventory Management are maintained by Purchase Management.

When an order is confirmed in Purchase Management the on-order stock figure is updated. When receipts or transfers are made into stores, the on-order quantity is reduced and the physical stock updated.

Advanced General Ledger and Accounts Payable

Purchase Management is fully integrated with Accounts Payable. Purchase Management accesses Accounts Payable master files through the Advanced General Ledger.

For example:



In this example anyone working in Purchase Management companies E1, E2 or E3 would be able to raise orders from any supplier in Accounts Payable companies A1, A2 or A3.



Note: The company code used in Requisitioning and Inventory Management must be the same as that used in Purchase Management. Supplier information, such as supplier code and address, are taken from the Accounts Payable supplier master file.



Note: If a Purchase Management company is linked to several Accounts Payable companies, the supplier references must be unique across all of the Accounts Payable companies.

Multiple Currencies in Account Payable

A Purchase Management company is multi-currency if it is linked to a multi-currency Advanced General Ledger company. This means that suppliers can be:

- Multi-currency, i.e. trade in any currency available to the Advanced General Ledger company.
- Single currency, i.e. trade in the base currency of the Advanced General Ledger company.

If you wish to use invoice matching, all unapproved invoices are first posted to the Accounts Payable log. They can then be matched to one or more receipts made against orders in Purchase Management.

While matching is taking place you can flag the invoice in Accounts Payable with the department holding it for approval.

In Accounts Payable you can run a report listing all the invoices currently on the log and matched with receipts in Purchase Management. These matched (approved) invoices can then be posted to the ledger.

Requisitioning

Purchase Management is fully integrated with the Requisitioning module. The Requisitioning Company Profile details are set up within the Purchase Management Company Profile.

Requisitioning shares master file information with Purchase Management.

Requisitioning uses Inventory Management item information, current stock balances and the inventory re-order policies to produce suitable purchase requisitions. You convert requisitions to purchase orders and process them within Purchase Management.

You can produce purchase requisitions (and hence purchase orders) from recommendations available in the Distribution Requirements Planning, Material Requirements Planning and Master Production Scheduling modules.

Cobwebb

Once purchase orders have been confirmed they can be sent directly to the supplier via a fax transmission. To do this the Cobwebb Fax module must be attached to the system.



Note: This facility is only available on AS/400 platforms.

Warehousing

Purchase Management performs internal checks to determine:

- If the Warehousing module is installed
- If the Company/Stockroom being processed is defined to Warehousing

If these conditions apply, when goods are received or transferred into stores a window is displayed for Warehousing information to be entered. The goods are then automatically processed by the put-away routines in Warehousing, which decide where the goods are located.

World Trade

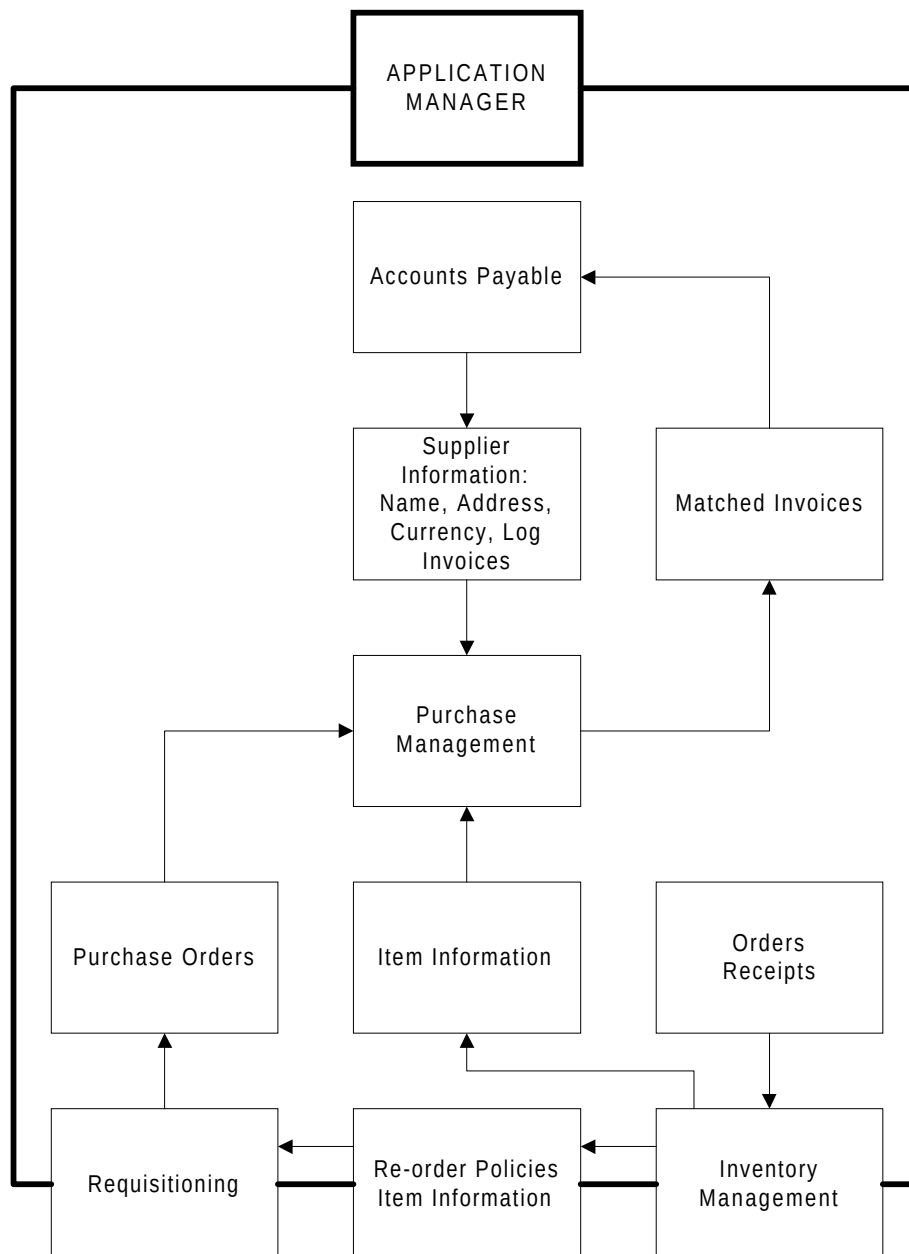
Purchase Management performs internal checks to determine:

- If the World Trade module is installed.
- If Intrastat reporting is required for the trading partners.

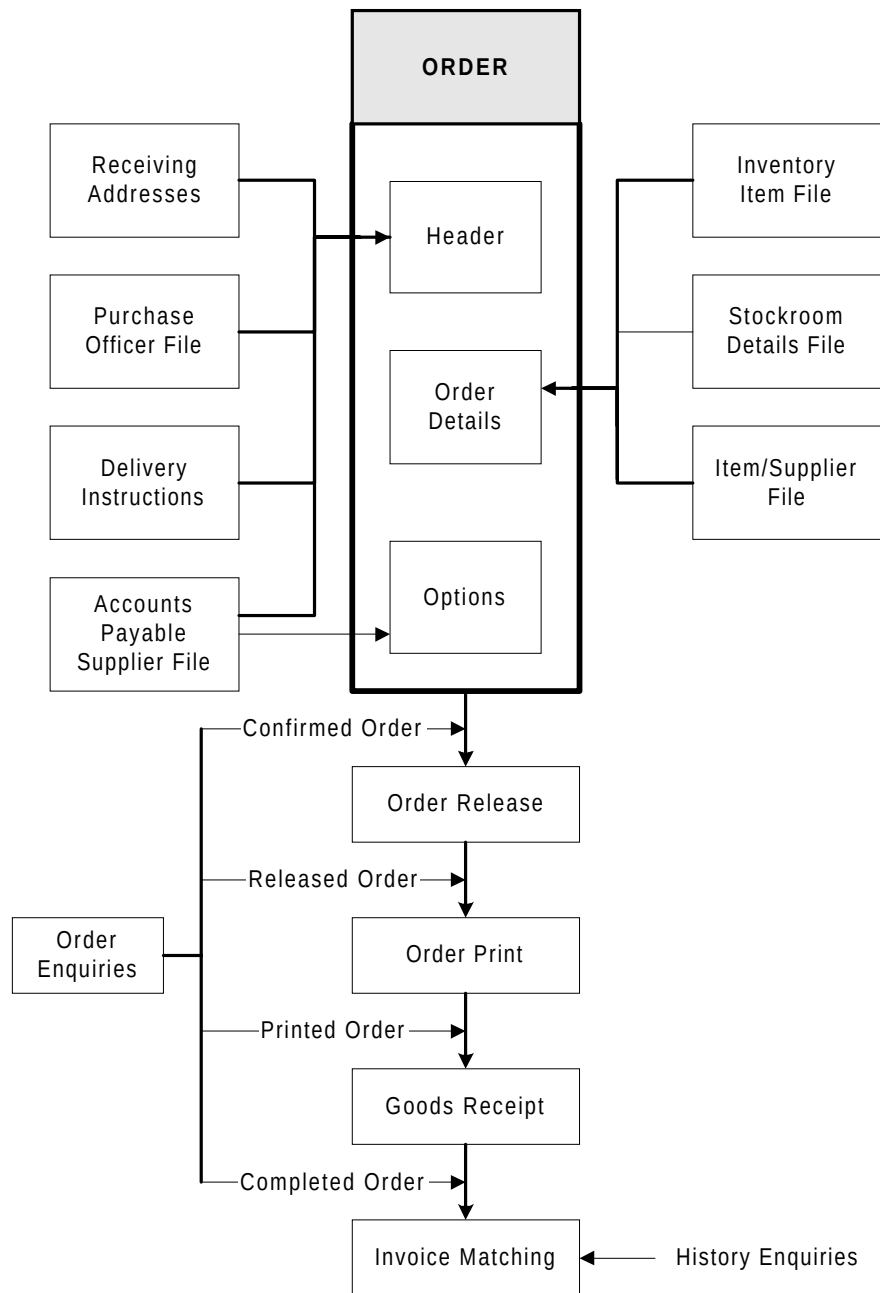
If these conditions apply, when goods are received or returned, a 'Mode of Transport' field is displayed, which specifies how the goods were moved.

These receipt and return transactions will call the World Trade programs, which create EC movement records. These will be used in the World Trade reporting routines. When performing invoice matching the EC movement records are updated.

Feature Integration



Purchase Management Interfaces



Configuration

Purchase Management can be operated for a number of companies, the individual characteristics of which are maintained on the Company Profile. The primary information maintained on the Company Profile is used to:

- Improve efficiency of data entry by providing defaults.
- Generate automatic document numbering.
- Specify which other modules are integrated with Purchase Management.
- Set up valid ranges for data integrity checking.

This primary information consists of:

- Company name, address, phone and fax.
- Default supplier address code.
- Default receiving address code.
- Default currency rate codes for orders and receipts.
- Output queues for reports, orders, GRNs / labels and rejection notes.
- Interfaces to other modules.
- Order numbering.
- Goods receipt note (GRN) numbering.
- Rejection note numbering.
- Purchasing officer number range.
- Requisitions options (where Requisitioning is installed).
- Default goods receiving booking-in-point.
- Receipt time fence in number of days.
- Dummy items (for delivery instructions).
- Dummy supplier (for receiving addresses).

Operational Considerations Summary

Company Profile Decisions

- Establishing numbering system.
- Interfaces to other modules.
- Specifying GRN printing options.

Setting User Authority Levels

- Setting Authority value.
- Setting Default stockroom.

System Maintenance

- Responsibility for maintenance.
- Frequency of maintenance.
- Timing of maintenance.

Raising Orders

- Standardising the use of memo fields and text.
- Deciding limits (if any) on number of items per order.
- Updating the Item/Supplier Profile.
- Establishing the order print routine.
- Decide whether to use order flags, and method of use.
- Define the order print layout.

Amendment Of Orders

- Decide whether to use for updates and / or corrections.
- Establish flags for acknowledgements.
- Update delivery dates.
- Responsibility for amendments.
- Timing of amendments.

Receiving Of Goods

- Deciding goods inwards and inspection procedures.
- Use of GRN notes and/or labels.

Returns And Stock Adjustments

- Which locations are items from?
- Should rejected items be scrapped?
- Should rejection notes be used?

- Are returns allowed after invoice matching?

Matching Invoices

- Responsibility for invoice matching.
- Scheduling of invoice matching.
- Are small differences allowed?
- Update item/supplier profile?

Reporting

- What reports must be run?
- When should they be run?
- Should selection parameters be standardised?

Requisitions

- Will requisitions be used?
- How often will requisitions be created?
- From which modules will they be created?
- Should all reports be printed?
- Are flags to be used, and what for?
- Responsibility for and timing of conversion to orders?

System Utilities

- Who is allowed to use them?
- How often should validations be run?

Maintenance of Reference Data

Although Purchase Management uses data files set up in other modules there are some files specific to it. Information for the following is maintained:

- Purchasing officer names.
- Item supplier profiles.
- Delivery instructions.
- Receiving addresses.
- Supplier external text.
- Parameters and miscellaneous codes.
- Supplier fax numbers.
- User authority parameters.
- Landed cost codes.
- Stockroom defaults.

Parameters And Miscellaneous Codes

A number of parameters must be maintained for each company. These are used to control the module and to tailor it to the company's requirements. These parameters include:

- Stockroom codes
- Group unit of measure codes
- Unit of measure codes
- Order classifications
- Scrap reason codes
- Schedule order types
- User defined fields

Purchasing Officer Names

Detail is held of the company's officers/planners who use Purchase Management. An officer's name is recorded against each order, and displayed on the module's enquiry screens.

Item Supplier Profiles

An item/supplier profile is required for each supplier/item combination. The profile includes price, ordering rules, lead time and supplier reference details.

These are created while entering an order or as part of the initial data set-up.

A cumulative total of orders placed and receipts are maintained by the module for each item/supplier profile.

Delivery Instructions

A set of delivery instructions is maintained for each company. Each set of instructions is identified by a three character code and comprises of up to three lines of text.

The delivery instruction code is selected at order entry and printed on the purchase order.

Receiving Addresses

A set of receiving addresses may be maintained for each company each comprising a name and up to five lines of address.

The code is selected at order entry, specifying the address to which the goods are sent. It defaults to the receiving address code set on the Company Profile.

Supplier External Text

For each supplier, up to 99 lines of text is maintained. At order entry, this text can be selected for printing on the order.

Supplier Fax Numbers

If the Cobwebb module is installed fax numbers for a supplier are maintained for when you wish automatic transmission of a fax of the purchase order to the supplier.

User Authority Parameters

You can control access to Purchase Management procedures using the standard authorisation features of Application Manager. Purchase Management provides an additional level of user authorisation within certain procedures.

Authority levels are set for system user profiles. These authority levels limit the ability of the user to:

- Under receive an order and specify that the order is complete.
- Over receive an order.
- Match a purchase invoice at a price greater than that specified for the order.

Authority levels are set as absolute values, and/or as percentages of the order line value.

Landed Cost Codes

You can add additional item costs (e.g. Postage and Packing) to purchase order lines using Landed costs codes.

Stockroom Defaults

You can set up Stockroom defaults for the module including:

- Stockroom name.
- Stockroom address.
- Phone/fax numbers.
- Contact name.
- Receiving address.

You can also set up Goods Received Note (GRN) generation, numbering and printing.

Processing

Normal processing in Purchase Management is divided into three tasks:

- Creating orders.
- Receiving goods.
- Matching invoices to goods received.

Creating and Entering Orders

You can create Purchase orders using two methods:

- By generating purchase orders from requisitions using the Requisitioning module.
- By using order entry in Purchase Management.

The entry of a purchase order can be broken down into three stages - Header, Order lines and Options.

The following information is entered in the order header:

Order Class

Defines the order as a stocked, non-stocked or service order

Order Type

Defines whether the order is of a normal (single delivery date per line), scheduled, or blanket type.



Note: A scheduled order is a commitment with a supplier for quantities to be delivered on specified dates. Multiple deliveries are expected for each line.



Note: A blanket order is similar to a scheduled order but the commitment to quantities and dates is provisional. It is processed in the same way as a scheduled order within Purchase Management.

Other information entered on the order header is:

- Supplier
- Supplier address
- Order date & delivery date
- Order number
- Purchasing officer
- Stockroom
- Delivery Instruction code
- Department
- Shipping code

- Discount(s)
- Job Number
- Currency of the order (only if a multiple currency company)

When entering Order Lines on the order, the standard Inventory Management search is available for identifying and selecting the correct item.

When an item is entered on a Order Line the suppliers' item reference, units of measure, price, and discounts are automatically displayed as defaults, but may be changed.

For non-stocked orders there are no defaults for price or units.

When completing an order the following options are available:

- Enter further orders or return to the menu.
- Print or fax the order.
- Use existing external supplier text or not.
- Add new text for printing on the order, i.e. external text.
- Add new text for display only, i.e. internal text.
- Cancel the whole order.

You can amend outstanding orders, and there is an audit trail for amendments made.



Note: New orders are listed on the New Orders Audit report. This list can act as an authority document prior to printing the order and must be produced prior to receipts being processed.

Receiving Goods On Purchase Orders

All goods received must have a matching purchase order.

To facilitate processing the correct purchase order all outstanding orders by item or supplier can be viewed.

The purchase order number may be entered directly and searches are available for the item code and supplier code.

Goods are received in three locations:

- Goods inwards
- Inspection
- Stores

You can move items from their original receipt location using the Transfer Goods Location option in this module.

For stock items, Inventory Management is updated when receipt (or transfer) is made to Stores.

The whole order may be received as a whole or line by line, with partial and over receipts possible. The user's authority is checked before under/over delivery can be accepted.

Goods received in Purchase Management are valued in Inventory Management using the order price (except for Standard Costed items), as no invoice price is available at this stage. The invoice is usually matched at a later date and valued in the Advanced General Ledger account at the invoice price.

If the order price is amended at invoice matching, an additional dissection is created for the price variance. The Advanced General Ledger code used for this is the price variance code taken from the item file in Inventory Management. This dissection will overwrite any Purchase Log goods value dissection already entered, unless you specify you wish to retain log dissections in the Purchase Management Company Profile.

You can enter batch, lot and serial numbers and header details.

If the receipt is made into stores and the Warehousing module is installed, a window is displayed for entry of package code.

You can update internal order text and order line text during Goods Receiving.

You can print the Goods Receipt Note (GRN) with labels, if required. GRN numbers can be automatically generated. These GRN options are defined on the Company Profile.

Once you have received the goods you can use the following facilities:

- Transfer of goods into or out of Goods Inwards / Inspection / Stores.
- Return of unwanted goods, with optional replacement and creation of rejection notes.
- Scrapping of faulty goods, with analysis by reason codes.
- Landed cost code maintenance.

Invoice Matching Routine

Invoice Matching lets you match receipts to invoices or credit notes on the Accounts Payable log. Invoice Matching performs two basic functions:

- Receipts within the Purchase Management module are flagged as matched with invoices. The pricing details are stored in Purchase Management for future analysis in the supplier performance and price variance reports.
- Invoice Log records in Accounts Payable are flagged as matched, and dissections to the appropriate nominal codes are set up.

You can match invoices, credit notes and journals on the invoice log against any number of advice notes and partial advice notes.

You can print a report of outstanding advice notes, by supplier, to assist invoice matching.

Once invoices have been matched, there is a separate facility in Accounts Payable which must be used to transfer the invoice from the log to the Accounts Payable proper. A report of matched invoices (on the invoice log) is available to trigger release of these invoices into Accounts Payable.

Text may be entered, reviewed and amended against the invoice reference at the time of matching.

An audit trail of matched invoices may be printed if required.

Where the Invoice Log is not in use, receipts within Purchase Management may be matched using the “stand-alone” matching procedure. This procedure is similar to standard matching, but involves no interface to the Accounts Payable log.

Enquiries

Enquiries are grouped into four categories:

- Outstanding order searches
- Order details
- Sources of supply
- Financial

Outstanding Order Searches

Purchase Management provides multiple routes for identifying an outstanding purchase. Enquiries are available by:

- Item
- Supplier
- Cost code
- Job number
- Supplier item reference
- Purchasing officer
- Purchase order number

Order Details

You can display details of any order. You can display each line of the order, showing receipts to date and other line details.

Sources of Supply

You can display the suppliers for a particular item, and which items have been bought from a supplier. These enquiries are known as 'Where bought?' and 'What bought?' respectively.

Financial

You can display the details of an invoice, including the value matched and matched receipt details. You may also display landed costs for an order.

Reports

You can usually change selection and sequencing parameters before a report is run. Standard reports are generally printed on listing paper and are 132 characters across and six lines to the inch. In Purchase Management orders, goods receipt notes and labels are printed on special stationery.

The reports in Purchase Management are grouped into the following categories:

- Actions
- Status
- Analysis
- Audits
- File Lists
- Exceptions

Actions

Action reports are used to progress an order through Purchase Management. They are the point at which the status of an order changes. Action reports are:

- New orders report
- Print orders
- Print GRNs/labels

Status Reports

Status reports show the current status of a purchase order within the module:

- Order pre-print
- Deliveries due
- Order confirmation
- Advice notes not invoiced
- Accruals (receipts not invoiced)
- Analysis

Analysis reports show different views of purchasing activity and performance:

- Receipts and returns
- Goods value by location
- Price variance
- Supplier performance
- What bought
- Where bought
- Order value by cost code

- Landed costs by GRN and item/supplier
- Purchase commitment
- Overdue orders by supplier

Audits

Audit reports show audit trails for processing functions in Purchase Management:

- Order amendments
- Receipts and returns
- Cancelled GRN numbers

File Lists

You can request file listings for the following:

- Purchasing officers
- Receiving addresses
- Delivery instructions
- Parameters and miscellaneous codes
- User authority values

Exceptions

Exception reports show discrepancies within the database which may need to be rectified:

- Item/supplier profile exception report
- Order file exception report

Utilities

Purchase Management provides utilities for database reorganisation and verification. These options, placed on the Utilities menu, are not required for the normal day to day operations.

The utilities provide the following facilities:

- Copying of company data
- Purging and reorganisation of the database
- Item search rebuilding
- Supplier price update

Implementation Guide

This section is a guide to the planning and implementation stages Purchase Management. It describes the pre-requisites of the module, the basic data requirements, a recommended implementation procedure, and details of conversions from previous releases.

Each implementation will be different in some way, and the various stages need to be thought through and an implementation plan produced. This should allow for :

- Training for system users.
- Identifying the required configuration.
- Data that needs to be entered and validated.

This section concentrates on those issues specific to Purchase Management.

Prerequisites

For the basic operation of the Purchase Management module, the Application Manager, Accounts Payable, Advanced General Ledger and Inventory Management must be installed.



Note: If purchase orders are to be sent directly to the Supplier via a Facsimile transmission, then the Cobwebb Fax module is a pre-requisite. This handles the actual transmission of the fax once it has been created via Purchase Management, and is available from your software support organisation.



Note: The Cobwebb Fax module is only available on AS/400 platforms.

Supplier Data

The Suppliers to be used in Purchase Management must be entered on the Supplier Master File. This is maintained within Accounts Payable.

Currency Data

If a multi-currency company, current rates for relevant currencies must be set up using the Advanced General Ledger functions.

Item Data

All items to be included in Purchase Management must be entered in Inventory Management.

Application Configuration

Companies

A Company Profile must be maintained for each company to be processed within Purchase Management.

The primary information maintained in the Company Profile is:

- Company name.
- Default Supplier Address Code.
- Default Currency Rate Codes.
- Output Queues for Reports.
- Interfaces to other Modules.
- Order Numbering.
- Goods Receipt Note (GRN) Numbering.
- Debit Note Numbering.
- Purchasing Officer Number Range.
- Requisitions Options, (where Requisitions module is installed).
- Default Goods Receiving Booking-In-Point.
- Receipt Time Fence Number of Days.
- Dummy Items, (for Delivery Instructions).
- Dummy Supplier, (for Receiving Addresses).

In addition the data described in the remainder of this section must/may be maintained.

Purchasing Officers

If items are to be controlled by their respective Purchase Officers, then definitions must be maintained per officer.

Item Supplier Profiles

Each item supplier requires a profile in Purchase Management. These may be set up while in order entry, or maintained as part of the initial data set up.

Delivery Instructions

A set of delivery instructions may be maintained per company. Each set is identified by a three character code and comprises of up to three lines of text to be printed on the Purchase Order (when selected).

Receiving Addresses

A set of receiving addresses may be maintained per company. Each set is identified by a three character code and comprises of up to five lines of address to be printed on the Purchase Order (when selected).

Supplier External Text

For each supplier, up to 99 lines of text may be maintained, to be printed on the order when selected.

User Authorities

For each user ID (defined to Application Manager) used to access the module, a value and percentage of order line value may be maintained. These are used in Goods Receiving and Invoice Matching to establish whether the user has sufficient authority to accept an under/over delivery, or a price greater than that specified for the order.

Parameters and Sundry Codes

A number of Parameters must be maintained for each company. These include:

- Unit of measure codes
- Item classifications
- Order classifications
- Scrap reason codes
- Schedule order types
- Stockroom codes
- User defined fields

These are used to tailor Purchase Management to specific company requirements.

Fax Numbers

If purchase orders are to be faxed, rather than printed, then fax numbers must be maintained for the relevant suppliers.

Implementation Procedure

After installing the software, the recommended steps for implementing Purchase Management are outlined as follows:

- 1 - Check pre-requisite modules have been set up.
- 2 - Create Company Profile.
- 3 - Create the Units Of Measure table in Parameter Maintenance (using UOMC and GUMC parameters).
- 4 - Check order classifications and amend them if necessary.
- 5 - Define scrap reason codes.
- 6 - Define user controlled fields for order entry.
- 7 - Create purchasing officer definitions.
- 8 - Define user authority values and default stockrooms.
- 9 - Set up landed cost codes if they are required.
- 10 - Create item/supplier profiles. These may also be created at the time of order entry.
- 11 - Create delivery instructions sets.

12 - Create receiving addresses.

13 - Create extended purchase text (if required) for:

- Items
- Items/Supplier
- Suppliers

14 - Set up supplier fax numbers if required.

15 - Set up stockroom defaults if required.

Conversion

Conversion will be available for Version 2 customers upgrading to Version 3. A full set of instructions and conversion routines are available from your agent.

Text Management

The following text options are available on the Purchase Management system:

TEXT TYPE	PURPOSE	HOW TO ENTER
Supplier External Text	Printed on orders for this supplier if the flag is set on the options screen	Use option 7 from the Purchase Management Maintenance Menu
Item Text (stock)	To provide a line description for stock items	Raise an order and place a 3 against the order line
Item Text (non-stock)	Provides a line description for non-stock items	Raise an order and place a 3 against the order line
Internal Order Text	For internal messages about a particular order, to be seen on enquiry screens but not printed on the order	Via the Order Entry/Amendment options screen
External Order Text	For printing on this order only	Via the order options screen

Order and item texts can also be updated via the enquiry screens.

Accounting Considerations

When goods are received in Purchase Management, they are valued in Inventory Management at the order price, since no invoice price is available at this stage. The invoice is usually matched at a later date and valued into the Advanced General Ledger account at the invoice price.

If the order price is amended at invoice matching, an additional dissection is created for the price variance, thus reconciling the Advanced General Ledger stock account and the inventory value. The Advanced General Ledger code used for this is the price variance code taken from the Stockroom file in Inventory.

The dissections created during Invoice Matching will overwrite any purchase log dissections already entered.

For Example:

Order 10 @ £1	£10.00
Receipt 10 @ £1	£10.00
Invoice Goods 10 @ £1.50	£15.00
Freight	£ 5.00
VAT	£ 3.00
TOTAL	£23.00

Dissections Generated:

VAT code	£ 3.00 (from the invoice)
Freight	£ 5.00 (manual input at match)
Price Variance	£ 5.00 (difference between value at receipt and value at match)
Stock account	£10.00 (from the inventory file)
Total	£23.00

Operational Considerations

The following points describe the operational considerations to take into account when implementing Purchase Management.

- Level of interface required
- Company Profile decisions
- Numbering system
- Interfaces
- GRN printing
- Setting of User Authority levels for each user profile
- System Maintenance
 - Who does it?
 - How often?
 - When?
- Raising Orders
 - Standard uses of memo fields
 - Limit on number of items per order?
 - Standard use of text
 - Establish order print routine
 - Use of order flags?
 - Order print layout
- Order Amendments
 - Use for updates and corrections?
 - Flags for acknowledgements?
 - Update delivery dates?
 - Who does amendments and when?
- Goods Receiving
 - Use of Goods inwards and inspection?
 - What happens if no order number can be found?
 - Use of GRN notes and/or labels?
 - Over receipts allowed?
- Returns and Adjustments
 - From which locations?
 - Item scrapping?

- Use of debit notes?
 - Return after invoice match?
- Invoice Matching
 - Who does it and how often?
 - Allow small differences?
 - Update Item/Supplier profile?
- Reporting
 - Which ones?
 - When?
 - Standard selection parameters?
- Requisitions
 - Will requisitions be used?
 - How often will requisitions be created?
 - From which modules will they be created?
 - Print all reports?
 - Use flags?
 - Conversion to orders?
- User Notes
 - Prepare user notes on the system as you want to use it.
- Utilities
 - Who is allowed to use them?
 - When should validations be run?

Menus

The following section details menus pertinent to Purchase Management.

Purchase Management Initial Menu

1...
2...

/PM

PM	NR - Neil Radford and Co. Ltd	User GBJBA1MS	23/07/96
			09:48:20
Purchase Management Main Menu			
1. Processing			
2. Maintenance			
3. Reports			
09. Utilities			
90. Signoff.			
Option █			
Search			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SP	MW	KS
F16=Change Company		F18=Report	
IM II KENB20A		PET166S2	

Purchase Management Processing Menu

1... /PMP
2...

PMP	NR - Neil Radford and Co. Ltd	User GBJBA1MS	23/07/96
			09:49:10
Purchase Management Processing Menu			
Enquiries		Processing	
11. By Item		41. Order Entry	
12. By Supplier		42. Order Amendment	
13. By Order		43. Goods Receiving	
14. By Cost Code		44. Returns and Adjustments	
15. By Job Number		45. Transfer Goods Locations	
16. By Supplier Item Reference		46. Match Invoices to Receipts	
17. By Purchasing Officer		47. Invoice Match Stand-alone	
		48. Landed Costs	
20. Where Bought			
21. What Bought			
22. Landed Costs			
23. Invoice Enquiry			
90. Signoff			
Option	■		
Search	_____		
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change Company F18=Report			
21-11 SP MW KS IM II KENB20A PET166S2			

Purchase Management Maintenance Menu

1...
2... /PMM

PMM	NR - Neil Radford and Co. Ltd	User GBJBA1MS	23/07/96
			09:49:27
Purchase Management Maintenance Menu			
Maintenance		File Lists	
1. Parameters & Miscellaneous Codes		11. Parameters & Misc. Codes	
2. Purchasing Officer Names		12. Purchasing Officer Names	
3. Item Supplier Profile		13. Receiving Addresses	
4. Delivery Instructions		14. Delivery Instructions	
5. Receiving Addresses		15. User Authority Parameters	
6. Supplier External Text			
7. Supplier Fax Numbers			
8. User Authority Parameters			
9. Landed Cost Codes			
10. Stockroom Defaults			
90. Signoff			
Option _____			
Search _____			
F3=Exit	F4=Prompt	F6=Messages	F12=Previous
21-11	SP	MW	KS
		IM	II
		KENB20A	PET166S2

Purchase Management Reports Menu

1... /PMR
2...

PMR	NR - Neil Radford and Co. Ltd	User GBJBA1MS	23/07/96
			09:49:46
Purchase Management Reports Menu			
31. New Orders (Audit prior to release)			
32. Order Pre-print			
33. Print Orders			
34. Print GRNs			
35. Order Amendment Audit			
36. Deliveries Due			
37. Order Confirmation Report			
38. Overdue Orders by Supplier			
41. Receipts & Returns			
42. Daily Receipts & Returns Audit			
43. Goods Value by Location			
44. Cancelled GRN Number Audit			
51. Price Variance			
61. Supplier Performance			
71. What Bought			
72. Where Bought			
81. Advice Notes not Invoiced			
82. Accruals (Receipts not Invoiced)			
83. Order Value by Cost Code			
84. Landed Costs by GRN			
85. Landed Costs by Item/Supplier			
86. Purchase Commitment			
90. Signoff			
Option _____			
Search _____			
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change Company F18=Prints			
21-11 SP MW KS IM II KENB20A PET166S2			

Purchase Management Utilities Menu

1... /PMU
2...

PMU	NR - Neil Radford and Co. Ltd	User GBJBA1MS	23/07/96 09:50:00
Purchase Management Utilities Menu			
1. Maintain Company Profiles			
2. Copy Company			
3. Cancelled Order Purge			
4. Order Clearance - Select Parameters			
5. Reconciliation Reports			
6. Create Item Search Index			
7. Supplier Price Update			
8. Set Current Price From Price Structure			
90. Signoff			
Option	█		
Search	_____		
F3=Exit F4=Prompt F6=Messages F12=Previous F16=Change Company F18=Prints			
21-11 SP MW KS IM II KENB20A PET166S2			

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Chapter 9

Requisitioning Overview



Introduction

The Requisitioning module enables you to create requisitions from supply suggestions or by manual entry. You can then transfer requisitions into supply orders.

The requisitions may be generated from supply suggestions created by any of the following modules:

- Inventory Management
- Master Production Scheduling (MPS)
- Material Requirements Planning (MRP)
- Distribution Requirements Planning (DRP)
- Advanced Order Entry

Alternatively, requisitions may be manually entered (for stocked items, non-stocked items, and services) within this module.

These are then subsequently transferred into the following supply orders:

- Purchase Order lines, or
- Distribution Order lines (for items sourced by an internal supply centre within the company as defined to DRP)

The Purchase Order lines are maintained within the Purchase Management module.

The Distribution Order lines are handled as internal sales orders within the Sales Order Processing module.

Relationship to Other Modules

The modules which are a pre-requisite for the operation of Requisitioning are:

- Purchase Management
- Inventory Management
- Accounts Payable
- General Ledger
- System Manager

The input to Requisitions, i.e. supply suggestions, may be from one or more of the following:

- Inventory Management
- Master Production Scheduling (MPS)
- Material Requirements Planning (MRP)
- Distribution Requirements Planning (DRP)
- Advanced Order Entry

If you create distribution orders, Sales Order Processing will handle them as internal sales orders (from Supply Centre to Distribution Centre).



Note: At least one of the modules must be installed in order to generate requisitions, unless they are always created manually.

Application Configuration

The Requisitioning module is 'driven' by the company profile of the corresponding Purchase Management company. The Purchase Management Company Profile defines:

- Company name
- Next Requisition number
- Release flag and order class to be used on creation of a requisition
- If a new order is to be created on change of Purchase Officer
- Interface parameters for Inventory Management

See Purchase Management for full details of the company profile options.

Preparing to Use Requisitioning

Preparing to use the Requisitioning module requires careful planning and preparation. Your existing Requisitioning procedures and data need to be transferred to the module.

Configuring the Application

Companies

Requisitioning does not contain its own company profile record. For each company to be processed within the Requisitioning module, the following information must be maintained in the corresponding Purchase Management module company profile:

Default order class for source requisitions

Default release flag for new requisitions

New order flag default value

Whether or not a new order is required on change of Purchasing Officer.

Requisition numbering options.

Whether authorisation is required for modified sourced requisitions.

Refer to the Purchase Management product information for details.

Items

Items must be defined to Inventory Management.

Suppliers

The suppliers to be referenced in Requisitioning are normally defined on the Supplier Master File. This is maintained within the Accounts Payable.

When requisitions are created from either Inventory, MPS / MRP or DRP the supplier is the preferred supplier from the Item / Stockroom record. If this is blank, the supplier will be set to the first supplier of the item from the Item / Supplier profile file within Purchase Management.

However, if the item is supplied within the company, and the DRP module is installed, the supplier is defined as a Supply Centre within DRP.

Stockrooms

Must be defined in Inventory Management.

Purchasing Officers

If items are to be controlled by their respective Purchase Officers you should maintain definitions within the Purchase Management module.

Authorisation

All users who are to be allowed to raise Manual Requisitions must have a Requisitioner record in the Authorisation file.

Starting to use Requisitioning

Once you have set up and retrieved the basic data you can start using the Requisitioning module.

The processing options allow you to create requisitions manually or automatically, maintain existing requisitions, authorise manual requisitions and create supply orders from Requisitioning.

Implementation Procedure

After installing the software provided, the recommended steps for installing the Requisitioning module are:

- 1.** Update Purchase Management Company Profile options with Requisitions options.
- 2.** Check the Purchasing Officer definitions in Purchase Management.
- 3.** Check the preferred supplier in the Item / Stockroom records in Inventory Management.
- 4.** Check the Item / Supplier profile records in Purchase Management.
- 5.** Define and create the Authorisation records via the option in this module. These are required if requisitions are to be entered manually or if requisitions sourced from other modules require authorisation when amended.

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Chapter 10

Sales Analysis Overview



Introduction

Sales Analysis lets you produce your own views of sales information, so you can make comparisons and identify trends that are vital to strategic planning.

One of the great strengths of Sales Analysis is the extent to which you are able to tailor the system to your own requirements without the need for any programming. This flexibility starts with the Sales History Database (which you define), along with the level at which Sales History is held. You choose the formats of enquiry, you can create a new view of the information quickly and easily without the need for data processing personnel.

You can create reports using simple prompts, these can then be requested on a regular basis, or create ad-hoc reports to answer enquiries.

Relationship to Other Applications

Sales Analysis uses primary data held in the Inventory Management and Sales Order Processing applications.

Inventory Management holds item details, including data such as item type, item group, division and sub-division.

Inventory Management also contains a database of codes and descriptions, used to maintain an abbreviated code for such details as item group, or salesman, together with a meaningful description. The great benefit of the description database is that it enables a consistent and easily validated use of codes, and provides for a meaningful description at report or enquiry time.

Customer details are held within Sales Order Processing, including data such as salesman, territory, and customer class.

You can use Sales Analysis data in Forecasting. Forecasting takes the sales quantities as demand on which to base the generated yearly forecasts. If Forecasting is going to be implemented and Sales Analysis used for demand you should take the following points into account.

- Forecasting uses three user defined data elements for each item: Stockroom Code, Minor Product Group and Quantity.
- Sales Analysis can hold quantities in the Inventory item master issue unit of measure or the item stockroom issue unit of measure. If you plan to transfer the generated forecasts to the Distribution Requirements Planning application, choose to hold demand quantities in Sales Analysis, in the Inventory item master issue unit. This is because Distribution Requirements Planning expects forecasts to be in this unit.

Sales Analysis also interfaces with Style, when installed the additional features that form an integral part of Style are included, and displayed within the Style Matrix. This is particularly relevant to enquiries and reports.

Company Profile

As with all applications, You can use Sales Analysis for number of companies, each with differing requirements. For each company that uses Sales Analysis, you need to maintain a profile, with details such as the name of the company and the level at which sales history is to be held.

Calendar

To maintain independence from financial or manufacturing time periods, Sales Analysis has it's own calendar, which holds the dates on which sales weeks or periods end. This enables Sales Analysis to allocate each sale to the appropriate period, according to its date.

Budgets

You can define Budgets in Sales Analysis with two main characteristics, a type and a format.

The type is an overall classification, such as Budget, Target or Forecast. The format describes the attribute or attributes to which the budget relates. For example, it is possible to have a Target for Salesman, salesman being a possible item on the Sales History database, or a Forecast for Customer account by Item group.

You enter Budgets by Sales History Period for a type and format previously defined. You can use Spread Profiles to help create the budgets - where you can spread an annual total over the year's sales periods according to a known pattern.

Sales Analysis reports enable the comparison of budgeted values with actual sales.

The Sales History Database

This is designed to enable a high level of tailoring to individual requirements without programming changes.

When the application is installed, you can choose the customer and item data elements that you wish to hold on the database. Along with the item code, customer code and sales period, you can choose six data elements relating to the Inventory Management “item master”, and six relating to the Sales Order Processing “customer master” file. Quantity, Cost and Sales Value are also held, with provision for four further values.

You may also choose to change the screen and report headings for the data elements held on the database. For example, if you use Item type, to indicate whether an item is “made in” or “bought out”, you can change the heading to say just that. This change is incorporated within the database itself, allowing full utilisation of third party query utilities, which will print your chosen column headings.

Updates and Processing

Sales History Update

Actual sales history is drawn from the Sales Order Processing invoice data. The Sales History Update function takes this data and adds it to the Sales History Database, using the calendar to determine the appropriate sales period.

You can run this as often as required, the actual frequency depending upon how up-to-date the Sales history needs to be.

Sales History Refresh

Sales Analysis enables you to selectively refresh customer or item data on the database if there is a change.

For example, if you re-organise your sales regions, so customers fall into different locations, after updating your customer data in Sales Order Processing, you can use the Sales History Refresh option to bring the Sales History Database in line with this re-organisation. So, Sales Analysis could show past sales to customers in their new regions if you required.

Periodic Updates

Whilst Sales Analysis has no pre-defined month-end reports, there are functions that allow you to run whatever regular reporting you require.

As you create your own reports, the system prompts to specify whether the reports are run on a regular basis, for example daily, or at month end. The daily, weekly, period-end, and year-end update functions select those reports you have requested, and produce them at the appropriate time.

These regular updates also maintain the current period and year, held on the company profile.

Enquiries

Sales Analysis provides a powerful enquiry function, to create a view of any data element on the database, analysed in terms of any other data item. You can choose the values displayed from the values on the database, and you can define the time periods in a variety of different ways.

You can create a new view simply by asking for an analysis that has not previously been used, and the application will then offer to create it.

The Sales Enquiry provides you with four columns of values, chosen by means of a number of formats, created and set up at installation time.

A format specifies the time periods to be displayed, together with the particular value to be displayed.

For example:

Time Period: This period, Last period, 3 periods ago, 4 periods ago

Value: Sales Value.

Or:

Time Period: This period, Last period, This year, Last year

Value: Quantity.

To enquire on sales history, in a chosen format, you must enter two items:

- The data element on which to enquire.
- The data element by which to analyse.

For example, an enquiry on salesman 01 by item group, would show a breakdown by item group of salesman 01 sales. You can then advance the enquiry to show the next salesman's sales by item group, and so forth.

You have the option to invert the display, to show the sales of a selected item group by all salesmen, and thus view product group by salesman, to see the sales by all salesmen of a particular item group.

You also have the option of viewing a graphical representation of this data using the bar chart function.

Reports

Sales Analysis contains report generator functions you can use to specify your own reports simply and quickly. You can create a report to run regularly, perhaps at month-end, or to run once to answer an ad-hoc enquiry.

Item File Print

This lists the items defined within Inventory Management, together with their attributes chosen for inclusion on the Sales History Database.

Customer File Print

This lists the Customers defined within Sales Order Processing, together with their attributes chosen for inclusion on the Sales History Database.

Report Specification Print

This lists the specifications of reports defined within Sales Analysis.

Sales Report

You can run an existing sales report or create an ad-hoc sales report using a series of prompts. You use these prompts to specify the report's sequence, selection and content, and when the report is to be run. You can then save the report specification which is then available to be run regularly, or on request.

Ranking Analysis

You can use the Ranking Analysis function within Sales Analysis to sequence or rank elements by the results of a summarised value, and optionally, make comparisons between one period and another.

For example, you could choose to rank salesmen by sales value summarising their sales values in order. You might choose to compare this month's ranking with last month's, to see what changes have taken place.

You can also use the ranking function to work at a second level, and rank one element within another. For example you could rank item groups within region, showing the best selling item groups for each region.

Utilities

Sales Analysis contains a set of utility functions that are intended for use at application installation time, or under certain special circumstances.

Prerequisites

This deals with all the steps involved from the initial installation of the application to the production of the first enquiries and reports.

- You can install Sales Analysis as an additional module within an existing environment, or as part of a new installation. The logical pre-requisites are the same in both cases.
- As with other products, Sales Analysis is supported by Application Manager, which must be installed first.
- You need to install both Inventory Management and Sales Order Processing before Sales Analysis. It obtains details from Inventory Management about the items which are sold and obtains details of customers and invoice details (representing sales) from Sales Order Processing.
- In order for Sales Analysis to extract information about sales, the item details held within Inventory Management must be maintained so that the information for analysis is present. Likewise, the customer details required for analysis must be present within Sales Order Processing and some invoices must have been printed.
- To print some of the reports contained in Sales Analysis, it is necessary to use printers that support 198 character line widths.

Application Configuration

Before you can use Sales Analysis you have to configure the application by providing the system with information on your business procedures.

These details can be split into five areas:

- Basic Data.
- Database.
- Budgets.
- Sales History.
- Technical Configuration.

Entering Basic Data

You must initialise your application by entering the following basic data.

- Company Profile - You must create a company profile for each company that is to use the application. This contains processing details specific to each company, and the current year and period, maintained by period-end routines.
- Calendars - Sales Analysis provides information grouped by sales period, whereas invoices are created as individual dates. In order for invoices to be placed in the appropriate period, a calendar is used.

You must create Calendars before you start processing. If you choose to hold history at a weekly level, you should create calendars for both week and period for all years which you intend to process.

- Sales History Time Period Selection - The information shown on the Sales Analysis enquiry is determined by the creation of formats.

These formats define the time periods and the values which will be shown, and must be created before any attempt is made to use the enquiry function of Sales Analysis.

A default format 1 is used by the application, and therefore, this at least must be created.

Database

Central to the Sales Analysis application is its database, which must be defined before processing is to start.

- Change Initial Field Descriptions - Within Sales Analysis, data elements or fields have internal names, which cannot be altered, and external names by which they are identified to system operators. You can use the Change Initial Field Descriptions function to step through the data elements, and change the names or descriptions of these in order to suit a particular installation.
- Define Database - You must create the database before you start processing. You should consider the data elements which you wish to hold before you create the database. See Sales History Database.

Budgets

You can choose to maintain budgets in Sales Analysis and compare budgets with actual sales in reports. You can choose to run the application without budgets initially and introduce them later. A budget is defined with a budget format and a budget type.

- **Definition** - To describe the data element(s) to which a budget applies, a format must be created. This also determines the kind of value to be held, for example, cost value or sales value.

The Budget Format function should be used to create the formats you require.

- **Spread Profiles** - The Spread Profiles function helps you define the pattern of sales over a year, by period. You can create a number of profiles to aid budget entry.
- **Budget Entry** - You can enter Budgets for a year, against the data elements defined by the budget format, for the values also specified by the format.

You can use Spread Profiles to spread an annual total over all periods in a year.

Sales History

Sales Analysis draws its information on sales from data within Sales Order Processing. For processing to start, you must have printed invoices using Sales Order Processing.

- **Updating Sales Analysis** - The Sales History Update function takes printed invoice data and posts the information to the Sales History Database. Once posted, the invoices are marked as such and will not be included in subsequent updates. If large volumes of data are involved this function may take some time to complete.
- **Enquiry** - The Sales Enquiry function will prompt you to enter a data element on which to enquire, and to select a data element by which to analyse. The first time a new enquiry combination is selected, the system will build summary data, but there after the enquiry will be performed straight away.
- **Reporting** - Sales Analysis enables you to create your own Sales Reports and Ranking Analysis Reports.

The Reports Specifications and Ranking Analysis Specification functions allow you to define reports quickly and easily. They may be created and run as part of the specification maintenance, or they may be selected by name at a later time, or included in the regular update runs.

Technical Configuration

- **Library For User-Created Objects** - Sales Analysis creates program and file objects during its execution. These must be directed to a specific library. A data area called SAUSRLIB contains the name of the library in which these objects will be placed. The default supplied by the system will be the file library (OSLD1F3) containing the Sales Analysis files.
- **Bar Chart Characters And Colours** - The characters to be used in the Enquiry bar chart are contained in the data area SABARCHARS, in hexadecimal, and the display attributes are held in the data area SABARCHCOL. These both contain default values, which you may change to tailor the bar chart display.

Expert Menu Codes

You can access any menu in any linked application to which you are authorised by simply keying in the expert mode menu code of the menu you want from a command line.

This is done by entering a "/" followed by the code, for example, /SAM (for the Sales Analysis Maintenance menu). The Sales Analysis codes are as follows:

Code	Menu
/DS	Customer Service and Logistics Initial Menu
/SA	Sales Analysis Initial menu
/SAP	Sales Analysis Processing menu
/SAM	Sales Analysis Maintenance menu
/SAE	Sales Analysis Reports and Enquiries menu
/SAU	Sales Analysis Utilities menu

The codes have been designed to be easily memorised. However, if you do forget a code, you can still enter the menu the normal way, and once there, the menu code is displayed in the top left hand corner.

You can go straight into a program by selecting the option number and menu at the same time. Simply enter the option number followed directly by a "/" and then the expert menu code. For example, instead of keying /SAM to get to the Maintenance menu and then taking option 4 to maintain calendars, simply keying 4/SAM takes you into the option. This is very convenient once the options you use most have become familiar to you.

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Chapter 11

Telesales Overview



Introduction

In an increasingly competitive sales environment greater emphasis is placed on proactive selling. One of the most potent weapons in the salesperson's armoury is the telephone. It is no longer enough to wait for customers to call or write with the details of an order - everything that can be done to get the order must be done. The costs of trained sales office personnel and telephone charges make it essential every call is productive. The economics of making the calls and sophisticated computer support for the sales staff must be measured and evaluated.

There is a wide range of uses for telesales modules including:

- Cold calling
- Telemarketing
- Taking of an expected order from an existing customer for an agreed list of items.

Each type of call is conducted in a different manner, although common elements of support can be provided by a computer system.

Telesales supports the Sales Operator so that the sales process is fast, accurate and causes the least disruption to both customer and sales office. This requires a structured dialogue, ideally with the buyer and seller using the same "script". This is not possible in a cold call situation, but all of the support information is available to the seller.

The response time from the computer system should be such that it will not normally cause the seller to request the buyer to pause. This performance is related to computer resources but great care has been taken to ensure an optimised screen response time.

Telesales uses a daily list of calls, divided amongst the Telesales operators. Some calls have specific times at which they should be made, others only the date.

Supervisory functions manage and re-assign the work to be done.

Telesales Style

Three distinct styles of Telesales are supported by the module:

- Telesales
- Planned Delivery
- Telemarketing

Telesales

Telesales is where an expected order is being taken from a known customer with an established buying pattern. Telesales generates the call list for the day, identifying the sales operator, time and the sales contacts. When a call is selected, the customer's buying list is displayed. The list of items and the order history is displayed. Selecting a Function Key replaces the order history with price and discount information.

Telesales enables entry of the order information. At the end of the entry of order line information the module displays an order summary. Following the closing of the order the remaining calls are then displayed, allowing the next customer to be selected.

Planned Delivery

Planned delivery is a form of telesales developed for the confectionery / tobacconist wholesale market. In this kind of order entry the customer quotes his current stock levels, module having previously calculated his average weekly demand.

Using this information the quantity to be ordered is calculated and automatically entered as the order quantity. The order closing procedures are as for standard telesales and you can adjust the order quantity if necessary. This ensures a minimum stock holding with little risk of running out of stock.

Telemarketing

In Telemarketing you are contacting customers where the chances of taking an order are very much reduced. You can create a call diary supported by the same call back and reschedule facilities as other areas of Telesales.

It can be seen that the process of referring to a call diary, selecting an account and displaying a definable list of items can support a wide range of telesales activities.

Relationship to Other Modules

Telesales is a standardised product operating under the control of System Manager. Telesales is one of a group of Advanced Module modules which extend the functionality of Base Modules modules.

The following modules are pre-requisites to the operation of Telesales:

- Sales Order Processing
- Inventory Management

If planned delivery is to be used:

- Sales Analysis

The objective of Telesales is to build standard sales orders. All of the standard sales order functions are used to service the order. This includes batch allocation, picking, despatch and invoicing, as well as the full range of enquiries and reports.

As part of the recording of the sales order, the module performs a check on available stock and highlight any shortage conditions. If Planned Delivery is used, then it is necessary to have access to the sales history of a customer so that the average usage for the customer can be calculated; this is derived from the Sales Analysis Database.

Application Configuration

Telesales is multi-company, the characteristics of each company being maintained on a control file. Before a company can be set up Sales Order Processing and Inventory Management must be installed and configured for the company. The control information may then be maintained.

This can be divided into the following classes of data:

Company standard policy controls for:

- Telesales type
- Contact types
- Operator performance and rest periods
- Buying lists
- Target for action messages
- Request for performance statistics

Text:

- Operators
- Call Profiles
- Buying Lists
- Contacts
- Delivery Profiles
- Promotions

Description Identities for:

- Promotion types
- Delivery routes

You can configure the presentation of data in the order recording process, by selecting Presentation Design from the Company Maintenance screen. You can configure, for example, the number of decimal places for the quantity during order entry, the display of the date and the standard concatenation of item number and description.

Maintenance of Reference Data

Common features in the way in which data is maintained are:

- Standard item and customer search routines have been adopted.
- Telesales makes the minimum use of 'codes' and where they are employed a prompt is available to select the correct one.
- Selection is normally from a displayed list or by the entry of a code.

Information for the following may be maintained:

- Operators
- Buying lists
- Customer contacts
- Call profiles
- Sales prompts
- Promotions
- Item families
- Reason descriptions

Operators

All people using Telesales for taking and managing calls must be identified to the module. User details include name and module user ID, as well as standard times; for calls, rest period and the working day, and the type of telesales calls in which the operator is proficient.

The degree of freedom the operator is allowed to change the sequence in which calls are to be made or to divert them to another operator is also maintained.

Buying List

Telesales aims to provide the operator with a list of items to discuss with a Customer. Many companies have a standard list of items which can be used as a basis for a call to most Customers. To enable Telesales to identify the Customers specific requirements, and minimise the call time, certain accounts use bespoke lists. Telesales allows you to create and amend such lists by direct entry or by copying part or all of existing lists.

It is possible to create a list at the appropriate level, and also to automatically build the description of the item that are displayed to the operator. The customer's item number may be displayed as well as the in-house item number.

Customer Contacts

Telesales allows you to create and amend any number of customer contacts. The contact name and details, telephone extension number and comments can be stored. When a call profile is being created the prime contact for that call are selected from the list of contacts.

Call Profiles

Telesales establishes diaries for the calling of customers. There are a number of attributes which can be recorded which are necessary to control the frequency and nature of the calls. They can be conveniently grouped under the following five headings:

- How to contact - telephone, fax, telex numbers
- Whom to contact - preferred or prime contact
- Whose responsibility - sales operator
- Nature of contact - buying list and type of call
- When to contact - time of the day, days of the week and weekly frequency

Full additional text facilities are provided.

Delivery Profiles

Telesales is used to synchronise the customer contact with a delivery pattern. In this way the company can make the best use of its transport expenditure and increase the efficiency of its despatch operation.

As with call profiles the information can be grouped:

- How to contact – telephone, telex, fax
- Whom to contact – primary contact
- When delivery is convenient – times of the day, days of the week and weekly frequency
- Geography – delivery route, drop sequence number

Full additional text facilities are provided.

Sales Prompts

Key reminders are frequently presented to the operator. This might relate to stock shortages or surpluses, pending price changes or general messages. Each message is controlled by an effectivity date. The messages are displayed one at a time, in sequence, at the top of the diary management and order taking screens, so that each time the **Enter** key is pressed the prompt changes.

Promotions

Telesales does not attempt to support and manage all aspects of promotions. It seeks to provide a basic recording of when they take place and the scope and nature of the promotion. The following information can be recorded:

- The promotion type
- The dates when it is operational
- What it is called and its promotion number
- The target increase in sales
- The constraints
- The item which is being promoted or all items
- A specific customer or customer class
- Price list and / or Discount Group
- Combination of customer characteristics

If an item is to be substituted by a promotional item this can be defined on the promotion. This can be used to effect the replacement at order entry if the promotion is accepted.

Item Families

Planned Delivery requires that items are linked together into an item family for the purpose of analysing sales in generic markets. This is achieved by creating a family like a Bill of Materials.

For example; a family could have a base item of vanilla and any number of promotion items or flavours. All items both base and promotion must be complete items defined to Inventory Management. Families are set up and maintained directly or are automatically created by defining a promotion with a promotional item.

Reason Descriptions

Telesales can set objectives for the Sales Operators and exercises a degree of control and measurement over their performance. If an operator is unable, either by typing in a code or selecting one from a list, to achieve the expected action at the expected time they are required to give a reason. Reason codes appropriate for the company can be set-up and maintained as required.

Generate Call Lists

This is normally run at the end of each working day to prepare the call list up to a specified date. The following actions can be performed as part of this run:

- Make an entry in the call list for all call profiles with a date, less than or equal to the specified date of the run.
- Generate a skeleton order based upon the nominated buying list for the call profile.
- Generate the prices and discounts for the customer / items on the buying list.
- Generate order history for the specified number of weeks or orders.

The first two of these are always performed, while pricing and order history are done if requested. The defaults for their inclusion in the run are on the company control file. You can balance the work load between call list generation and response times by changing the run time parameters to try different combinations .

Manage Call Lists

You can manage the Call Lists using the options below. Each operator has an authority level reflecting the options they can use. The following authority levels are available:

- 0 - The Operator must take the next call in sequence.
- 1 - The Operator may take any call next.
- 2 - The Operator may amend the time of the call.
- 3 - The Operator may change who is to make a call.

Operators can use options below their level, i.e. a user authorised to option 2 also has access to option 1. Two lists are created, both sequenced by Operator and Date. Timed calls are added to one and untimed to the other. The Call List is displayed with timed calls at the top and untimed at the bottom.

Telesales takes the average call time for the operator and adds it to the current time. If no timed calls are due by the calculated time, it selects an untimed call. This calculation is performed each time the screen is selected or the Refresh option is taken. Similarly each time the Call Selection screen is displayed one of the Sales Prompts is displayed. Only operators with an authority level of 3 can re-organise and redistribute the call list of another operator. If a call is selected but contact is not completed the operators can request call back at a specified time.

Record Order Details

Once a Customer has been selected the module enters the appropriate style of order entry:

- 1 - Telesales.
- 2 - Planned delivery.
- 3 - Telemarketing.

The top part of the screen contains key customer information, including contact name and extension number. The left hand side of the screen contains the item identification. For each item the Telesales function creates a 30-character identifier made up of item number and description as required. Order details are entered in a column; either order quantity or current stock level in the case of Planned Delivery.

On the right hand side is previous order data for Telesales, average order information for Planned Delivery or price and discount data. Function keys toggle between the Price / Discount and History / Average screen and back. These screens enable order details to be entered extremely quickly, therefore pressing **Enter** normally displays the next screen.

At the end of the item screens the module presents a summary which:

- Displays the details of the order lines taken. In the case of planned delivery it includes the calculated order quantity.
- Displays the price and discount.
- Allows the entry of additional items.
- Performs a credit check.
- Demands entry of customer order entry reference.
- Quotes the order number.
- Allows additional charges to be appended to the order.
- Allows entry of order date and due delivery date for the order.
- Tests the free stock to confirm despatch can be made.
- Provides for confirmation of the next call details.

You can display buying lists, including the description of the list, e.g. Small Electrical Wholesalers-Brown Goods. These lists are not static - they might contain those items which should be pushed to a particular market sector today.

Create Sales Orders

Recording order details updates an order work file. The data in this work file is used to create the information required to allow allocation, picking and despatch to be handled by standard Sales Order Processing functions.

This function exists in the Telesales sub-system, is activated by the ending of a call and creates an order within a few minutes.

Work Planning

Telesales displays the work to be done by Operator by day, in bar chart form . This includes the standard rest period. This enquiry enables class three operators to replan work.

Performance Analysis

If enabled in your Company Profile, performance statistics are recorded. The elapsed time for each stage of the order taking cycle and the number of lines taken is recorded. The performance analysis report then gives Operator Performance information at summary or detail level between a range of dates.

Preparing to Use Telesales

Setting up Telesales requires careful planning and preparation. Your existing Telesales procedures and data need to be transferred to the module. Consideration should also be given to improvements which could be made to current procedures by making full use of the capabilities of Telesales.

When Telesales is installed, four major areas must be considered.

- Have the prerequisite modules been installed and if so are they set up in a way which is suitable for the operation of Telesales?
- How the functions and facilities of Telesales are used to enhance the selling activity of the company?
- Has the operation of Telesales been discussed with customers?
- Have the operators of the module had adequate education?

Links to Modules

Telesales relies heavily on data held in other modules and its objective is to generate orders in a standard form within Sales Order Processing. Sales Order Processing must be installed with all its prerequisites and conditions satisfied.

The two character company code in Telesales identifies which Sales Order Processing, Inventory Management, Accounts Receivable and Sales Analysis company it is linked to.

A number of Telesales functions depend directly on data held in other modules. These are:

- Previous Order History data can be displayed to the operator. This is extracted from the Sales Order Processing database.
- Pricing and discounting information used in Telesales is retrieved from Sales Order Processing.
- Customer information such as supplying depot, price list, discount list and currency is retrieved from Sales Order Processing.
- Stock levels used in sourcing and availability checks are from the Inventory Management module.
- Data from Sales Analysis is used to calculate average weekly sales.

How Will The Telesales Module Be Used?

Telesales is designed to record order requirements quickly, while talking to a customer. To achieve this a pre-agreed list of items is displayed to the operator to offer to the customer, the only entry required being the order quantity. Telesales allows three variations on this basic theme. These methods should be fully understood so that the appropriate technique can be used with each customer. The following questions should be asked:

- Which style of telesales is used for each customer?
- Will standard buying lists be created or will they be customer specific?
- Will operators work in small groups on a list of customers or will they each have their own customer list?
- Will the module be used to time and record the performance of each operator?

Discussion With Customers

In order to gain the maximum benefit from Telesales customers should understand the nature of the dialogue you plan to have with them. They should understand you intend to sell from a list and should perhaps have a copy of the list. If you are using Planned Delivery with them they must understand they are expected to give current stock levels and must have complete confidence in the re-order level algorithm used.

Are The Operators Trained?

As Telesales directly affects your relationships with your customers the only change they should see is improvement. It is imperative that operators are trained to use the module.

It is both practical and desirable to introduce a pilot scheme with a small number of carefully selected customers.

Basic Data

Having decided how you will use Telesales in conjunction with other modules and the companies you will use, you need to plan and implement the setting up of the additional data required. The main elements you need to create are:

- Company Profile
- Operator Profiles
- Buying Lists
- Customer Contacts
- Call Profiles
- Promotions
- Reason Codes

Company Profile

The Telesales module will make use of information held on the Sales Order Processing and Inventory company profiles. Additional information is also required.

Defaults for the operation of Telesales:

- Type of order (telesales, telemarketing, planned delivery)
- Buying list
- Time of pricing
- Stock availability check
- Names to be used in dates, e.g. January, February etc. and Monday, Tuesday etc.
- Formatting at the order line entry screen
- Controlling the logic to decide on the next call to be taken

Operator Profiles

In many Telesales operations an operator owns a number of customers so that a rapport may be established. It is possible to define operators to the system so that when they choose to start making calls their list is displayed to them. This can be extended so that a group of operators own a list of customers. The operator can have the authority to make a decision about their work load and the sequence in which calls are to be taken.

Buying Lists

A buying list is the list of items to be discussed with the customer during a call. It can be a short customer specific list, or the full catalogue of the company's range. Care must be taken to ensure that most of the items required are on the list, however, if the catalogue approach is used the preparation of the call list may be protracted.

Customer Contacts

In order that the sales call can be most effective it should be made to a previously agreed, named individual or contact. Text can be added to the basic details to aid the reinforcement of the relationship.

Call Profiles

The Call Profile records that a named individual in your company should telephone a named individual at the customer to discuss a list of items. This call should be made at previously agreed dates and times to record their requirements by either taking order quantities or the current stock levels. There are a number of points to watch carefully:

- The calls must be smoothed over the week and day as much as possible.
- Calls must be spread evenly between operators over the course of the day.
- All operators should have a number of untimed calls to fill in the blank times.
- A customer can have more than one call profile to discuss different lists, or to allow for call patterns which are not based just on a weekly cycle.

Promotions

In general promotions advise or act as a reminder except when an item substitution is made. In this case the promoted item is substituted if the promotion option is taken. Care must be taken when analysing sales of the base item and the substituted item.

Reason Codes

Two character reason codes can be set up to help analyse the reason for failed calls. Care should be taken to restrict the number to help operators.

Initial Data Take On

Once the additional data has been set-up you are ready to use the module to receive calls and record orders using Telesales. In order to make outgoing calls, run the call list generation procedure. This builds the list of calls to make and create a rapid reference database of the previous orders for the items on the buying list for the required customers. This can be a very large task if there are:

- A large number of customers
- A large number of lines on the buying lists
- A large number of weeks history required

In general the product of:

- Customers
- Buying list lines
- Number of weeks orders gives the number of order lines to be built into the history. It is estimated that this could be done at about 25,000 per hour although this will vary depending upon machine size and other activity.

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Chapter 12

US Sales Tax Overview



Introduction

The purpose of the US Sales Tax module is to support the legislative requirements for tax calculations within the United States.

Tax rates may differ between states, and between counties within an individual state.

Under these requirements complex situations can arise where an item attracts different tax rates across a number of legislative tax bodies.

Sales tax should be applied on sales that will not be resold or incorporated into other items for resale, for example, cars from a dealer. Sales tax would not be applied on the sale of car components from a manufacturer to a car assembler as the assembled car itself is subject to sales tax, however, if the manufacturer sells parts directly to employees, sales tax should be applied.

Links to Other Applications

When the United States Sales Tax is installed, the following areas must be considered:

- Have the prerequisite applications been installed; and if so are they set up in a way suitable for the operation of United States Sales Tax?
- How will the functions of the United States Sales Tax application be used to greatest effect?

United States Sales Tax is a fully standardised System 21 product, and as such, operates under the control of Application Manager. United States Sales Tax extends the functionality of the base applications.

The following applications are prerequisites to the operation of United States Sales Tax:

- Application Manager.
- Inventory Management.
- Sales Order Processing and Invoicing.
- Accounts Receivable.
- General Ledger (If automatic posting to the General Ledger is required by the tax body.)
- Advanced Financial Integrator.

United States Sales Tax updates the standard sales order database by calculating sales tax for invoices and maintains a breakdown of tax values for each taxing body, per invoice.

The two character company code in United States Sales Tax identifies to which Sales Order Processing and Invoicing, Inventory Management, Accounts Receivable and Sales Analysis company it is limited.

The US Sales Tax application depends directly on data held in other applications. For example:

- Customer information from Sales Order Processing and Invoicing.
- Item and miscellaneous charge information from Inventory.
- Furthermore the US Sales Tax application effects the updates to other applications.
- Sales tax amounts within Sales Order Processing and Invoicing.
- Tax values in Accounts Receivable.
- Tax postings to the General Ledger.

General Ledger Posting

For each invoice posted to the General Ledger from Sales Order Processing and Invoicing, the total tax amount for each tax body on the invoice is posted

separately to the General Ledger account code defined on the Chart of Accounts and to the tax body.

Application Configuration

United States Sales Tax can be operated for a number of companies. The characteristics of these are defined within the other prerequisite applications. Additional configuration of United States Sales Tax company profile, tax body details, customer tax bodies and item or miscellaneous charge override tax rates need to be defined. Certain entries already exist for these on the item / tax body override file.

Basic Data Setup

Having decided how US Sales Tax will be used in conjunction with other applications and which companies to use, you will need to plan and implement the setting up of the additional data required. The main elements you will need to create are:

- Tax Body details, rates and remit to addresses.
- Item and charge override rates.
- Customer tax body defaults.
- Item and charge tax codes.

A set of state and some city tax bodies and rates have been defined for the Z1 Demonstration company.

These can be copied for live companies, although tax rates are subject to change.

Some entries have also been defined to the Inventory descriptions file against the major types PSTC - Sales tax codes and USTT - Sales tax body types.

Preparing to Use United States Sales Tax

Preparing to use the United States Sales Tax application requires careful planning and preparation. Your existing sales tax procedures and data need to be transferred to the application.

Entering Basic Data

You must initialise your application by entering the following basic data:

- Company profile containing control and parameter information for the operation of your company within the application.
- Tax bodies, rates and override rates. These will be used in both Sales Order Processing and Inventory Management to establish the rates of Sales Tax payable as well as the body to which it should be paid.